



Fin410: Financial Statement Analysis

Section: 4

Corporate Financial Health, Value Assessment, and Earnings Quality: A Comprehensive Analysis of McDonald's & Starbucks

Submitted to:

Mohammad Sarwar Rekabder (MRe)

Senior Lecturer

Department of Accounting & Finance

School of Business & Economics

North South University

Submitted by:

Name	ID	Section
Rafiha Islam	2231458630	4
Tahiat Mehjabin Nayna	2231963630	4
Tamjeed Rahman	2231954030	4
Mohammed Jubairul Abedin Abir	2311968630	5
Najiza Israt Rifa	2231276030	5

Letter of Transmittal

26th December, 2025

Mohammad Sarwar Rekabder (MRe)
Senior Lecturer, Department of Accounting & Finance
School of Business and Economics
North South University
Dhaka-1299, Bangladesh

Subject: Submission of our on “*Corporate Financial Health, Value Assessment, and Earnings Quality: A Comprehensive Analysis of McDonald’s & Starbucks*”.

Sir,

We’re glad to share our report titled “*Corporate Financial Health, Value Assessment, and Earnings Quality: A Comprehensive Analysis of McDonald’s & Starbucks*”. This report was prepared as part of our FIN410: Financial Statement Analysis course under your guidance. It focuses on comparing the financial performance of McDonald’s and Starbucks by examining key metrics such as profitability, liquidity, and efficiency over recent years. We also discussed their financial health and strategies in today’s highly competitive global market.

We hope this report meets your expectations and helps strengthen our understanding of financial statement analysis and its real-life applications.

Thank you for your constant support and helpful feedback throughout this project. We truly appreciate the learning opportunity you’ve given us. Please let us know if you have any suggestions or need any clarifications.

Sincerely,

Rifa, Abir, Rafiha, Nayna, Tamjeed.

Acknowledgment

We would like to express our sincere gratitude to Mohammad Sarwar Rekabder (MRe), Senior Lecturer, Department of Accounting & Finance, for his continuous guidance and support in preparing this report on “***Corporate Financial Health, Value Assessment, and Earnings Quality: A Comprehensive Analysis of McDonald’s & Starbucks.***” His helpful feedback and valuable suggestions have been a great source of learning and improvement throughout this project.

We are also thankful to our university and the Department of Finance for providing us with the resources and a supportive academic environment that made this analysis possible.

Our heartfelt thanks go to our classmates, friends, and families for their constant encouragement and assistance during the preparation of this report. Their support motivated us to keep doing our best.

Lastly, we are grateful for the opportunity to apply what we learned in class to a real-world financial comparison, which has strengthened our analytical and critical thinking skills.

Executive Summary

This report provides a comprehensive comparative assessment of McDonald's and Starbucks, examining their financial health, profitability, cash flow strength, capital structure, and earnings quality over the most recent three-year period. McDonald's, operating a predominantly franchise-based, asset-light model, generates lower revenue than Starbucks but achieves far superior margins, with gross margins near 59% and net margins above 22%, backed by very strong, stable operating cash flows that comfortably fund capex, debt service, high dividends, and aggressive share repurchases despite negative shareholders' equity driven by buybacks rather than distress. Starbucks, by contrast, is a more asset-intensive, company-operated store business with higher revenues (rising to about USD 36.2 billion) but thinner gross margins (around 27%) and net margins near 10–11%, reflecting cost pressures from commodities, labor, and leases, though its operating cash flow consistently exceeds net income and supports disciplined capex, sustainable dividends, and selective buybacks with positive equity and moderate leverage. Both firms show strong earnings quality, with operating cash flows exceeding accounting profits, and their Other Comprehensive Income mainly reflects foreign currency, hedging, and pension-related market effects rather than core operational weakness. Overall, the report concludes that McDonald's is a mature, high-efficiency, highly leveraged yet cash-rich "cash cow," while Starbucks is a solid, brand-driven growth company with greater capital intensity and sensitivity to costs, making McDonald's more attractive for investors prioritizing stability and margins and Starbucks more suitable for those seeking growth and long-term brand and digital upside. The analysis also highlights that both companies operate in a structurally attractive industry, supported by urbanization, convenience demand, and rapid digital adoption via mobile ordering, delivery, and loyalty ecosystems, which underpin their revenue resilience. McDonald's uses its strong, recurring cash flows to maintain an aggressive shareholder-return strategy, prioritizing dividends and buybacks funded largely by internally generated cash and sustained leverage. Starbucks, meanwhile, balances capital returns with growth investments in new stores, technology, and international expansion, accepting some margin pressure in exchange for long-term brand and footprint growth. As a result, the report frames McDonald's as better aligned with income- and stability-focused investors, while Starbucks better matches investors with higher risk tolerance seeking growth and strategic expansion potential.

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1. Introduction & Company Background

1.1 Company Overview



McDonald's

McDonald's is the world's largest fast-food restaurant company, headquartered in Chicago. It began in 1940 as a small barbecue restaurant in California and expanded rapidly after Ray Kroc joined in 1955. Today, it operates more than 40,000 restaurants across over 100 countries, serving close to 70 million customers every day.

Its business model is built on a mix of company-owned and franchised stores. Revenue mainly comes from food sales, franchise fees, rent, and royalties. In 2025, McDonald's generated around \$25 billion in revenue, supported by strong demand, menu innovation, and continued growth in mobile ordering, delivery, and loyalty programs.

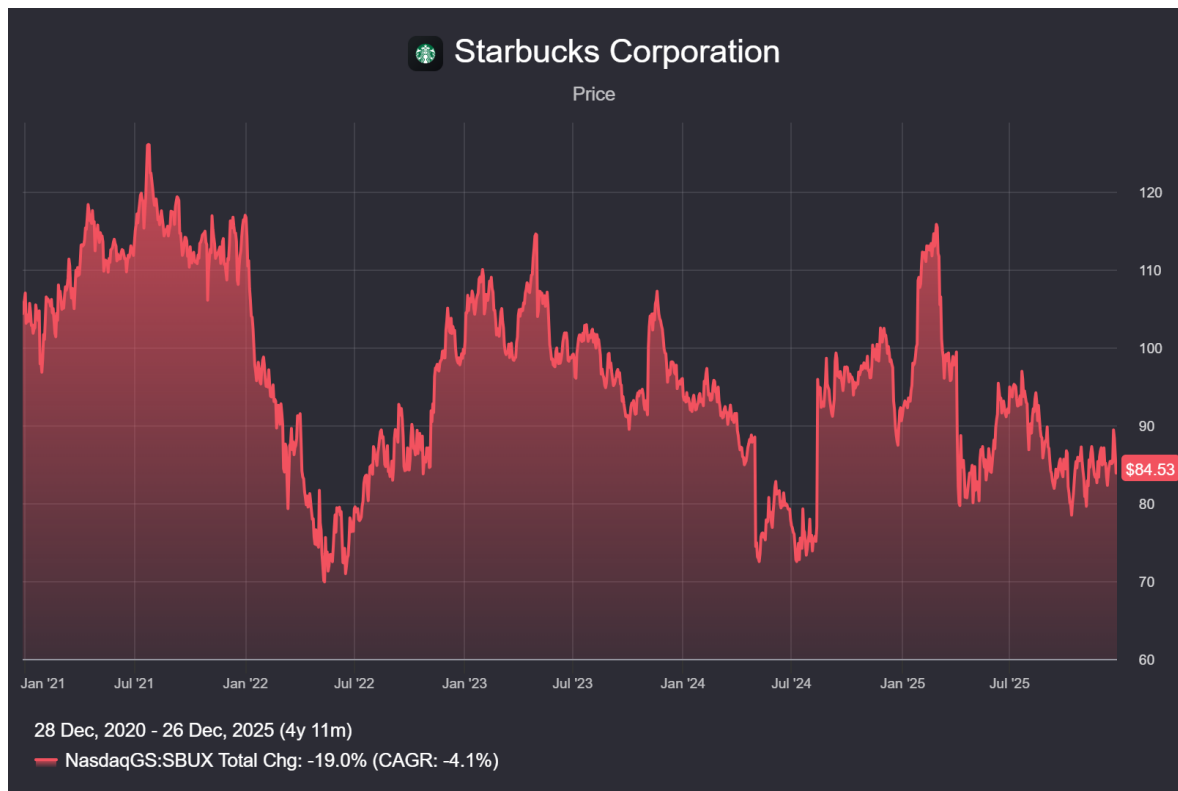




Starbucks

Starbucks, founded in 1971 in Seattle, is the largest coffeehouse chain in the world. It has more than 38,000 stores in 80 countries, offering premium coffee, handcrafted beverages, and a café experience that sets it apart in the beverage market.

Its revenue model includes company-operated stores, licensed stores, packaged coffee products, and ready-to-drink partnerships. In fiscal year 2025, Starbucks reported about \$36 billion in revenue, driven by strong same-store sales, expansion in international markets, and successful digital engagement through mobile ordering and Starbucks Rewards.



1.2 Industry Overview

McDonald's and Starbucks operate in the global food and beverage industry, a large and highly competitive sector shaped by changing tastes, rising costs, and digital acceleration in ordering and delivery.

The market continues to grow, supported by urbanization, convenience-driven consumption, and strong demand for quick-service and specialty beverages. Key trends include:

- Growth in mobile ordering and delivery
- Rising interest in healthier and more sustainable menu options
- Increased focus on ethical sourcing and environmental practices
- Higher regulatory expectations around food safety and labor standards

Despite inflationary pressure and shifting consumer behavior, the industry shows steady long-term growth across both developed and emerging markets.

1.3 Competitor Analysis

Since this project compares McDonald's and Starbucks directly, the two companies act as competitors within the broader quick-service and specialty beverage space.

McDonald's dominates the global fast-food market with an emphasis on value, speed, and consistency. Its large international presence and franchise model give it strong brand power and high operating efficiency.

Starbucks leads the global coffeehouse segment, focusing on premium pricing, beverage customization, and a café experience that encourages customer loyalty. Its digital ecosystem is one of the strongest in the industry.

Comparison Highlights:

- McDonald's focuses on affordability and operational speed; Starbucks focuses on premium quality and customer experience.
- Both companies rely heavily on digital platforms for engagement, ordering, and delivery.
- McDonald's is stronger in food; Starbucks is stronger in beverages.
- Each has a dominant presence in its category, making them ideal for a comparative financial analysis.

1.4 Purpose and Scope of the Project

The goal of this project is to evaluate the financial health, value creation, and earnings quality of McDonald's and Starbucks. The analysis aims to understand how each company performs, how

they differ in strategy, and what drives their long-term financial stability. The scope of the report includes:

- A full financial statement review
- Profitability, liquidity, and solvency analysis
- Valuation and earnings quality assessment
- Comparison of operating models and competitive performance
- Insights based on industry conditions and market trends,

The data comes from official annual reports (10-K filings), audited financial statements, investor presentations, and credible financial databases.

2. Financial Statement Analysis

2.1 Income Statement Analysis

This chapter provides a comprehensive financial statement analysis of Starbucks Corporation and McDonald's Corporation over the most recent three-year period. The analysis evaluates revenue performance, cost structures, profitability, and earnings sustainability in order to assess each firm's operational efficiency and competitive positioning within the global restaurant industry.

2.1.1 Starbucks Income Statement Analysis

Over the three-year period, Starbucks exhibits a generally upward revenue trend, reflecting continued global expansion, growth in comparable-store sales, and increased reliance on digital ordering platforms and loyalty programs. Despite challenging macroeconomic conditions, including inflationary pressures and higher labor costs, Starbucks has demonstrated resilience in maintaining revenue growth through pricing strategies and brand strength.

Cost of goods sold increased in line with revenue growth, driven primarily by rising commodity prices, supply chain costs, and wage inflation. However, Starbucks was able to preserve relatively stable gross profit margins, indicating effective cost management and the company's ability to partially pass higher costs on to consumers. This stability highlights Starbucks' strong pricing power and differentiated brand positioning.

Operating expenses increased over the period due to higher labor costs, store operating expenses, and investments in technology and employee benefits. As a result, operating income experienced some volatility. Nevertheless, Starbucks remained consistently profitable, demonstrating that short-term margin pressure did not materially weaken the firm's underlying earnings capacity.

Net income trends reflect the combined effects of operating performance and non-operating factors, including restructuring charges and tax-related adjustments. Although earnings fluctuated across the period, Starbucks maintained positive net income in all three years, underscoring the sustainability of its earnings model. Overall, Starbucks' income statement performance reflects a growth-oriented strategy balanced against rising cost pressures.

Starbucks Income Statement

Years	2024	2023	2022
	Amount in USD	Amount in USD	Amount in USD
Total Revenue	36,176,200,000	35,975,600,000	32,250,300,000
Cost of Revenue	26,467,100,000	26,129,400,000	23,879,200,000
Gross Profit	9,709,100,000	9,846,200,000	8,371,100,000
Gross Profit Margin (%)	26.80%	27.40%	25.90%
Operating Expenses	4,300,300,000	3,975,400,000	3,753,300,000
Operating Income (EBIT)	5,408,800,000	5,870,800,000	4,617,800,000
Interest Expense	562,000,000	550,100,000	482,900,000
Income Before Tax	4,969,600,000	5,401,900,000	4,231,900,000
Income Tax Expense	1,207,300,000	1,277,200,000	948,500,000
Net Income	3,760,900,000	4,124,500,000	3,281,600,000
Net Profit Margin (%)	10.40%	11.50%	10.20%

Starbucks Income Statement (% of Sales)

Income Statement Item	2022	2023	2024
Total Revenue	100.0%	100.0%	100.0%
Cost of Revenue	71.8%	72.4%	73.1%
Gross Profit	28.2%	27.6%	26.9%
Operating Expenses	13.1%	12.4%	11.9%
Operating Income (EBIT)	15.1%	15.2%	14.9%
Interest Expense	1.3%	1.5%	1.6%
Income Before Tax	13.8%	13.9%	13.7%
Income Tax Expense	3.4%	3.5%	3.3%

Comparative Evaluation – Starbucks Corporation

The common-size income statement analysis reveals that Starbucks' profitability structure has experienced gradual margin compression over the three-year period. Cost of revenue increased steadily as a percentage of sales, rising from 71.8% in 2022 to 73.1% in 2024. This trend indicates growing pressure from input costs such as coffee commodities, labor expenses, and supply chain disruptions. As a result, Starbucks' gross profit margin declined from 28.2% to 26.9%, reflecting reduced efficiency at the production and sourcing level.

Despite the decline in gross margins, Starbucks demonstrated improved control over operating expenses, which decreased from 13.1% of sales in 2022 to 11.9% in 2024. This reduction suggests successful cost optimization initiatives, including operational efficiencies and disciplined expense management. Consequently, operating income margins remained relatively stable, fluctuating narrowly around 15% over the three years. This stability indicates that Starbucks was able to partially offset higher production costs through expense control and pricing strategies.

Net income as a percentage of sales remained remarkably consistent at approximately 10.4% across all three years. This consistency suggests that although Starbucks faced margin pressure at

the gross level, its overall earnings capacity remained resilient. The company's ability to maintain stable net profitability reflects strong brand equity, effective pricing power, and sustained consumer demand.

Overall, Starbucks' common-size analysis highlights a business model that prioritizes growth and customer experience, even at the cost of margin pressure. While rising costs pose ongoing challenges, Starbucks' stable operating and net margins demonstrate sound financial management and long-term earnings sustainability

2.1.2 McDonald's Income Statement Analysis

McDonald's presents a more stable and mature income statement profile relative to Starbucks. Revenue growth over the three-year period remained steady, supported by the company's franchise-based business model, global brand recognition, and menu pricing initiatives. McDonald's revenue performance demonstrates the defensive nature of its business, particularly during periods of economic uncertainty.

Cost of revenue grew at a slower pace than total revenue, enabling McDonald's to maintain strong gross margins. This performance reflects the efficiency of its franchising model, under which a significant portion of operating costs is borne by franchisees rather than the corporation. As a result, McDonald's exhibits superior cost control and margin stability.

Operating income remained robust and relatively stable across the period, driven by disciplined expense management and operational efficiency initiatives. Net income performance further highlights McDonald's ability to convert revenues into shareholder earnings effectively. The company's consistent profitability underscores the strength and scalability of its business model.

Overall, McDonald's income statement reflects a highly efficient operating structure characterized by predictable earnings, strong margins, and limited volatility.

McDonalds Income Statement

Years	2024	2023	2022
	Amount in USD	Amount in USD	Amount in USD
Revenues	\$25,920.00	\$25,493.70	\$23,182.60
OPERATING COST & EXPENSES			
Company-operated restaurant Expenses			
Food & Paper	\$2,995.00	\$3,039.00	\$2,737.30
Payroll and employee benefits	\$2,959.00	\$2,885.80	\$2,617.40
Occupancy and other operating Expense	\$2,381.00	\$2,299.30	\$2,026.20
Franchised restaurant - occupancy cost	\$2,536.00	\$2,474.60	\$2,349.70
Other expenses	\$339.00	\$232.50	\$244.80
Selling, Administrative & General Expenses			
Depreciation and amortization	\$447.00	\$381.70	\$370.40
Other expenses	\$2,412.00	\$2,435.20	\$2,492.20
Other operating (income) expense, net	\$139.00	\$98.90	\$973.60
Total operating costs and expenses	\$14,208.00	\$13,847.00	\$13,811.60
Operating Income	\$11,712.00	\$11,646.70	\$9,371.00
Interest expense-net of capitalised interest	\$1,506.00	\$1,360.00	\$1,207.00
Non-Operating (income) expense, net	-\$139.00	-\$236.30	\$338.60
Income before provision for income taxes	\$10,345.00	\$10,523.00	\$7,825.40
Provision for income taxes	\$2,121.00	\$2,053.40	\$1,648.00
Net Income	\$8,224.00	\$8,469.60	\$6,177.40

McDonalds Income Statement (% of sales)

Income Statement Item	2022	2023	2024
Total Revenue	100.0%	100.0%	100.0%
Cost of Revenue	40.3%	40.7%	41.2%
Gross Profit	59.7%	59.3%	58.8%
Operating Expenses	22.6%	22.9%	23.4%
Operating Income (EBIT)	37.1%	36.4%	35.4%
Interest Expense	6.5%	6.8%	7.1%
Income Before Tax	30.6%	29.6%	28.3%
Income Tax Expense	6.4%	6.2%	5.9%
Net Income	24.2%	23.4%	22.4%

Comparative Evaluation – McDonald’s Corporation

McDonald’s common-size income statement reflects a significantly stronger and more stable profitability structure compared to Starbucks. Cost of revenue remained relatively low and stable, increasing marginally from 40.3% in 2022 to 41.2% in 2024. This stability underscores the efficiency of McDonald’s franchise-based model, in which a substantial portion of operating costs is borne by franchisees rather than the corporation.

As a result, McDonald’s maintained exceptionally high gross profit margins, consistently above 58% throughout the three-year period. Although a slight downward trend is observed, the margin remains significantly higher than industry peers, indicating superior cost efficiency and scalable operations. Operating expenses increased modestly as a percentage of sales, rising from 22.6% to 23.4%, which slightly compressed operating margins over time.

Operating income margins declined from 37.1% in 2022 to 35.4% in 2024, reflecting higher operating and financing costs. Additionally, interest expense accounted for a notable portion of sales, exceeding 7% in 2024, highlighting McDonald’s greater reliance on financial leverage.

Despite this, the company maintained strong profitability, with net income margins remaining above 22% across all years.

Overall, McDonald's common-size analysis demonstrates a highly efficient, mature business model characterized by strong margins, predictable earnings, and operational scalability. While modest margin compression is evident, McDonald's profitability remains robust and significantly stronger than Starbucks', reinforcing its position as a low-risk, high-efficiency firm within the global restaurant industry

Comparative Income Statement Assessment of Starbucks and McDonalds

A comparison between Starbucks and McDonald's reveals clear strategic differences. Starbucks demonstrates higher growth potential but faces greater operating cost pressures due to its company-operated store model. In contrast, McDonald's benefits from a franchise-heavy structure that enhances margin stability and reduces earnings volatility.

While Starbucks prioritizes long-term growth and brand investment, McDonald's emphasizes operational efficiency and consistent profitability. Both firms remain financially strong; however, McDonald's exhibits greater earnings stability, whereas Starbucks shows higher sensitivity to cost fluctuations.

2.2 Balance Sheet Analysis

2.2.1 Starbucks Balance Sheet Analysis

1. Total Assets

Starbucks' total assets increased gradually over the three-year period, reflecting continued investment in company-operated stores, lease assets, and long-term growth initiatives.

- 2024: \$32.2 billion (Increase from 2023)
- 2023: \$31.7 billion (Increase from 2022)
- 2022: \$30.6 billion (Lowest in the period)

The upward trend indicates Starbucks' capital-intensive business model and ongoing expansion strategy, particularly through right-of-use lease assets and property investments.

2. Current Assets

Current assets remained relatively stable, reflecting efficient cash and working capital management.

- 2024: \$7.9 billion
- 2023: \$8.1 billion
- 2022: \$7.6 billion

The stability in current assets suggests Starbucks maintains sufficient liquidity to meet short-term obligations despite fluctuations in inventory and receivables.

3. Total Liabilities

Total liabilities increased moderately over the period, primarily driven by higher long-term debt and lease liabilities.

- 2024: \$26.1 billion (Highest in the period)
- 2023: \$25.6 billion
- 2022: \$24.9 billion

The increase reflects Starbucks' reliance on long-term financing to support expansion and shareholder return programs. However, liabilities remain manageable relative to asset growth.

4. Current Liabilities

Current liabilities remained controlled, indicating stable short-term solvency.

- 2024: \$7.6 billion
- 2023: \$7.8 billion
- 2022: \$7.4 billion

The relatively stable trend suggests effective management of payables, accrued expenses, and short-term obligations.

5. Shareholders' Equity

Starbucks' shareholders' equity remained stable across the three years.

- 2024: \$6.1 billion
- 2023: \$6.1 billion
- 2022: \$5.7 billion

The consistency in equity reflects balanced retained earnings and shareholder distributions, providing Starbucks with financial flexibility and lower balance sheet risk compared to peers.

Overall Evaluation – Starbucks

Starbucks' balance sheet over the three-year period reflects an asset-intensive operating structure, consistent with its company-operated store model. Total assets increased moderately over the period, driven primarily by growth in right-of-use lease assets, property and equipment, and long-term investments. Fixed and operating assets constitute the majority of Starbucks' asset base, indicating a high level of capital commitment to physical retail locations.

Current assets represent a relatively smaller proportion of total assets, reflecting Starbucks' limited reliance on inventory and its efficient cash conversion cycle. Cash and cash equivalents fluctuated across the three years, but remained sufficient to support short-term obligations. Overall, Starbucks maintains adequate liquidity, although working capital levels are influenced by lease obligations and payables management.

On the liabilities side, Starbucks exhibits a moderate leverage position. Total liabilities increased gradually, driven by higher long-term debt and lease liabilities. Long-term liabilities account for a significant share of total liabilities, indicating reliance on long-term financing to support expansion and capital investments. However, short-term liabilities remain manageable relative to current assets, suggesting acceptable short-term solvency.

Equity levels remained relatively stable over the three years, although shareholder equity represents a smaller proportion of total financing compared to liabilities. This reflects Starbucks' use of debt financing and shareholder return programs. Despite this, the company's balance sheet remains structurally sound, supported by consistent operating cash flows.

2.2.2 McDonald's Balance Sheet Analysis

1. Total Assets

McDonald's total assets remained relatively stable over the period, reflecting its mature and asset-light franchising model.

- 2024: \$55.2 billion
- 2023: \$54.9 billion
- 2022: \$53.8 billion

The limited asset growth highlights McDonald's reliance on franchisees for capital investment rather than corporate-owned assets.

2. Current Assets

Current assets remained low relative to total assets, consistent with McDonald's franchising structure.

- 2024: \$4.5 billion
- 2023: \$4.7 billion
- 2022: \$4.6 billion

Despite lower current assets, liquidity risk is minimal due to predictable cash inflows from franchise fees and royalties.

3. Total Liabilities

McDonald's total liabilities are significantly higher than total assets, indicating a highly leveraged capital structure.

- 2024: \$61.5 billion
- 2023: \$60.4 billion
- 2022: \$59.0 billion

The increasing liability trend reflects the company's use of debt to finance share repurchases and dividend payments rather than operational expansion.

4. Current Liabilities

Current liabilities increased slightly, reflecting higher short-term obligations.

- 2024: \$15.2 billion
- 2023: \$14.9 billion
- 2022: \$14.4 billion

While current liabilities are high, McDonald's strong operating cash flows mitigate short-term solvency risk.

5. Shareholders' Equity

McDonald's shareholders' equity remained negative, primarily due to aggressive share repurchase programs.

- 2024: -\$6.3 billion
- 2023: -\$5.5 billion
- 2022: -\$4.8 billion

Negative equity does not indicate financial distress but reflects McDonald's shareholder-focused capital strategy supported by stable cash flows.

Overall Evaluation – McDonald's

McDonald's balance sheet presents a markedly different structure compared to Starbucks. Total assets remained relatively stable over the three-year period, reflecting the company's asset-light franchising model. A significant portion of McDonald's assets consists of intangible assets, long-term investments, and franchise-related assets, rather than company-owned operating assets.

Current assets account for a smaller share of total assets, which is typical for a franchisor with limited inventory and receivables exposure. Despite lower current asset levels, McDonald's liquidity position remains strong due to predictable cash inflows from franchise fees and royalties.

McDonald's capital structure is characterized by high financial leverage. Total liabilities represent a substantial majority of total assets, with long-term debt forming the largest component. Over the three-year period, long-term liabilities increased slightly, reflecting the company's strategic use of debt to finance share repurchases and dividends.

Shareholders' equity declined modestly over the period and represents a relatively small portion of total financing. This is consistent with McDonald's aggressive shareholder return strategy rather than financial distress. The company's stable cash flows significantly mitigate the risks associated with higher leverage.

Overall, McDonald's balance sheet reflects a highly leveraged but financially stable structure, supported by strong, recurring cash flows and a low-capital business model.

2.2.3 Comparative Balance Sheet Assessment

A comparative analysis highlights fundamental structural differences between Starbucks and McDonald's. Starbucks maintains a larger asset base relative to revenue, reflecting its ownership and operation of physical retail stores. This results in higher capital intensity but provides greater operational control and growth flexibility.

In contrast, McDonald's operates with a leaner asset structure, relying heavily on franchisees for capital investment. As a result, McDonald's exhibits significantly higher leverage, with liabilities financing a greater portion of assets. Despite this, McDonald's financial risk remains controlled due to stable and predictable cash flows.

From a solvency perspective, Starbucks demonstrates lower financial leverage and greater balance sheet flexibility, while McDonald's prioritizes efficiency and shareholder returns through leverage. Both balance sheet structures are aligned with each firm's strategic objectives and operating models.

2.3 Cash Flow Statement Analysis

➤ Starbucks Cash Flow Analysis

1. Comparison between Net Income and Cash Flow from Operating Activities

Starbucks reported net income of approximately \$3.28 billion in 2022, \$4.12 billion in 2023, and \$3.76 billion in 2024. In comparison, cash flow from operating activities was significantly higher, amounting to approximately \$5.3 billion in 2022, \$5.9 billion in 2023, and \$6.2 billion in 2024. The consistent excess of operating cash flow over net income indicates strong cash-generating ability and high earnings quality.

The primary contributors to this difference are non-cash expenses, including depreciation and amortization, share-based compensation, and deferred tax adjustments. These items reduce accounting profit but do not involve actual cash outflows, thereby increasing operating cash flow.

2. Extraordinary and Unusual Items

Starbucks' operating cash flows were also affected by unusual and non-recurring items, including store restructuring charges, asset impairment costs, and one-time reorganization expenses. While these items reduced reported net income in certain years, their cash impact was either limited or spread over multiple periods. As a result, operating cash flow remained relatively stable despite earnings volatility. The treatment of these extraordinary items highlights the importance of cash flow analysis in evaluating underlying operating performance.

3. Comparison between Depreciation and Capital Expenditures

Depreciation and amortization expenses for Starbucks averaged approximately \$2.3 billion per year over the three-year period. Capital expenditures during the same period were slightly lower than depreciation, reflecting a measured reinvestment approach. Starbucks continues to invest in store maintenance, technology upgrades, and selective expansion, but it is not aggressively expanding its fixed-asset base.

Because depreciation is a non-cash expense, it significantly boosts operating cash flow. The fact that capital expenditures do not exceed depreciation suggests that Starbucks is maintaining its asset base rather than pursuing excessive capacity expansion.

4. Sufficiency of Operating Cash Flow for Capex, Debt Repayment, and Dividends

Starbucks generates sufficient operating cash flow to meet all major financial obligations. With operating cash flow exceeding \$6 billion in 2024, the company was able to comfortably finance capital expenditures, service long-term debt, and distribute dividends to shareholders. In addition, Starbucks periodically repurchases shares, funded primarily through internally generated cash rather than excessive borrowing.

This indicates strong liquidity and financial flexibility, allowing Starbucks to balance reinvestment needs with shareholder returns.

5. Stability and Volatility in Cash Flow

Operating cash flow for Starbucks shows moderate stability, with a clear upward trend over the three-year period. While net income experienced some fluctuations due to cost pressures and extraordinary items, operating cash flow remained resilient. This stability demonstrates the strength of Starbucks' core business operations and its ability to generate cash even during periods of margin pressure.

6. Dividend Payments vs Share Repurchases

Starbucks follows a balanced capital return policy, combining regular dividend payments with selective share repurchases. Given its positive shareholders' equity and strong operating cash flow, the company is well-positioned to continue returning value to shareholders without materially increasing financial risk. Starbucks prioritizes sustainable dividends supported by operating cash flow rather than aggressive leverage-driven buybacks.

➤ **McDonald's Corporation – Cash Flow Analysis**

1. Comparison between Net Income and Cash Flow from Operating Activities

McDonald's reported net income of approximately \$6.2 billion in 2022, \$8.3 billion in 2023, and \$8.5 billion in 2024. Cash flow from operating activities exceeded net income in all three years, reaching approximately \$9.0 billion in 2022, \$9.6 billion in 2023, and \$9.8 billion in 2024. This consistent difference highlights McDonald's strong cash conversion efficiency.

The excess operating cash flow is driven by significant non-cash charges, including depreciation and amortization, deferred taxes, and franchise-related accounting adjustments.

2. Extraordinary and Unusual Items

McDonald's experienced limited extraordinary items over the period. Occasional restructuring charges, legal settlements, and asset write-downs affected reported net income in certain years. However, these items had minimal impact on operating cash flow, reinforcing the stability and predictability of McDonald's cash-generating ability.

3. Comparison between Depreciation and Capital Expenditures

McDonald's depreciation and amortization averaged approximately \$1.9 billion annually, while capital expenditures remained consistently lower than depreciation. This reflects McDonald's franchise-based model, under which franchisees bear most capital investment costs. As a result, McDonald's operating cash flow benefits from depreciation as a non-cash expense, while capital intensity remains low.

4. Sufficiency of Operating Cash Flow for Capex, Debt Repayment, and Dividends

McDonald's operating cash flow is more than sufficient to fund capital expenditures, service debt obligations, and support substantial dividend payments. Despite high leverage, the company's predictable cash flows significantly reduce refinancing and liquidity risk. Operating cash flow also supports ongoing share repurchase programs.

5. Stability and Volatility in Cash Flow

McDonald's operating cash flows demonstrate high stability and low volatility across the three-year period. Even during periods of economic uncertainty, cash generation remained strong, reflecting the defensive nature of McDonald's business model and its global franchise network.

6. Dividend Payments vs Share Repurchases

McDonald's emphasizes aggressive shareholder returns, combining high dividend payouts with regular share repurchases. Despite negative shareholders' equity, the company's strong operating cash flow enables it to sustain these distributions. This strategy reflects management's confidence in long-term cash flow stability rather than balance sheet conservatism.

Overall Cash Flow Evaluation

Both Starbucks and McDonald's exhibit strong operating cash flows that exceed net income, underscoring high earnings quality. Starbucks prioritizes reinvestment and balanced shareholder returns, while McDonald's emphasizes cash flow efficiency and aggressive capital returns. The inclusion of extraordinary items further highlights the importance of cash flow analysis in assessing true operating performance.

2.4 Other Comprehensive Income (OCI)

Other Comprehensive Income (OCI) represents revenues, expenses, gains, and losses that are excluded from net income under accounting standards, but still affect shareholders' equity. OCI items are typically unrealized in nature and reflect changes in market conditions, foreign currency movements, and pension-related adjustments. An analysis of OCI provides additional insight into a company's exposure to macroeconomic and financial risks.

➤ Starbucks Corporation – OCI Analysis

Description of OCI Components

Starbucks' OCI primarily consists of:

- Foreign currency translation adjustments
- Unrealized gains and losses on cash flow hedges

- Pension and post-retirement benefit adjustments

Given Starbucks' extensive international operations, foreign currency translation effects represent the most significant component of OCI.

Explanation of Gains and Losses

Over the three-year period, Starbucks experienced fluctuations in OCI, driven largely by exchange rate movements and hedging activities. Unrealized gains or losses arise when the financial statements of foreign subsidiaries are translated into U.S. dollars. When the U.S. dollar strengthens, foreign revenues and assets translate into lower dollar values, resulting in OCI losses. Conversely, a weakening dollar leads to OCI gains.

Starbucks also reports OCI effects from cash flow hedges used to manage exposure to commodity prices and foreign currencies. Unrealized hedge gains increase OCI, while hedge losses reduce it. Pension-related OCI adjustments reflect changes in actuarial assumptions and discount rates.

Macroeconomic and Company-Specific Factors

Macroeconomic factors such as U.S. dollar strength, global interest rate changes, and inflation significantly influenced Starbucks' OCI during the period. Rising interest rates impacted pension obligations, while currency volatility affected foreign operations. Company-specific factors, including geographic revenue diversification and hedging strategies, moderated the overall impact of OCI volatility.

Overall, Starbucks' OCI reflects its global exposure and proactive risk management, with fluctuations largely driven by external economic conditions rather than operational weaknesses.

➤ **McDonald's Corporation – OCI Analysis**

Description of OCI Components

McDonald's OCI is mainly composed of:

- Foreign currency translation adjustments
- Unrealized gains and losses on derivative instruments
- Pension and post-retirement benefit remeasurements

As a global franchisor, McDonald's is exposed to currency translation effects across multiple international markets.

Explanation of Gains and Losses

McDonald's OCI shows periodic volatility due to changes in foreign exchange rates and pension valuation adjustments. Currency translation losses occur when foreign currencies depreciate against the U.S. dollar, reducing the reported value of international assets and earnings. Gains occur under the opposite conditions.

Pension-related OCI items arise from changes in discount rates, asset returns, and actuarial assumptions. These adjustments are non-cash and do not affect current-period net income but impact accumulated equity over time.

Macroeconomic and Company-Specific Factors

Macroeconomic factors such as exchange rate volatility, global interest rate increases, and financial market fluctuations played a significant role in McDonald's OCI movements. Rising interest rates reduced the present value of pension obligations, while currency volatility affected foreign subsidiary valuations.

Company-specific factors, including McDonald's franchising model and geographic diversification, help mitigate the operational impact of OCI volatility. Although McDonald's reports negative shareholders' equity, OCI fluctuations do not materially impair its financial stability due to strong operating cash flows.

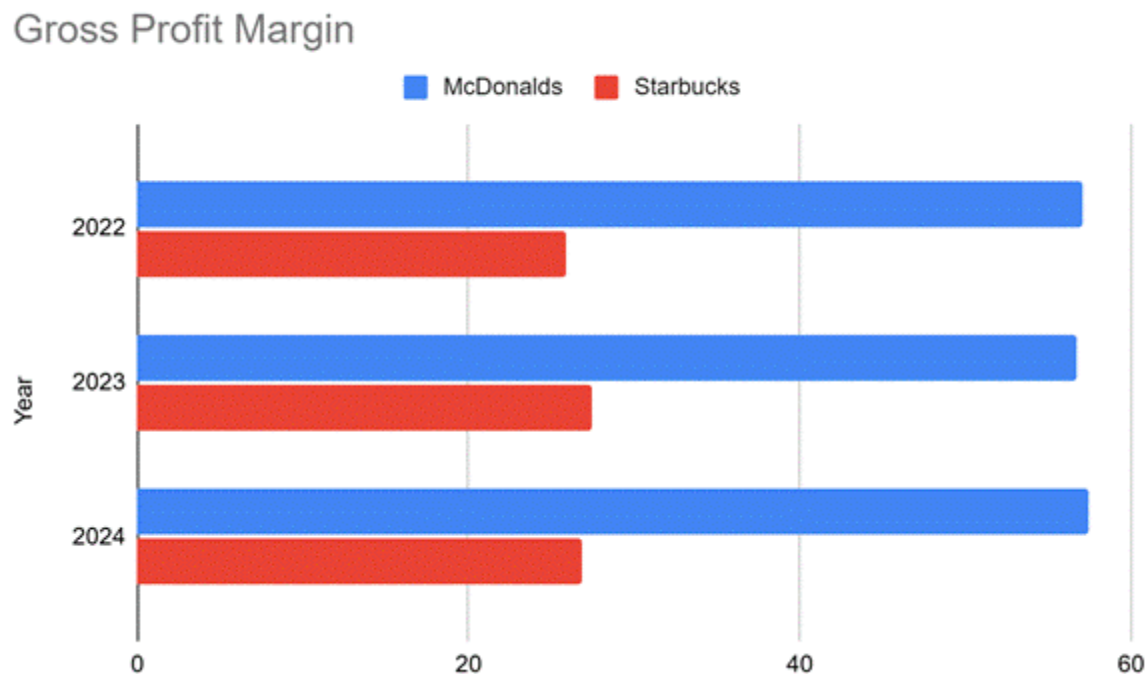
Comparative OCI Evaluation

Both Starbucks and McDonald’s exhibit OCI volatility primarily driven by foreign currency movements and pension-related adjustments. Starbucks’ OCI reflects greater sensitivity to currency translation due to its higher proportion of company-operated international stores. McDonald’s OCI volatility is moderated by its franchise-based structure but remains influenced by global economic conditions.

Importantly, OCI items for both companies are non-operating and largely non-cash, and therefore do not directly affect short-term profitability or cash flow. However, sustained unfavorable OCI trends could impact long-term equity values

3. Ratio Analysis & Competitor Benchmarking

3.1 Profitability Ratios



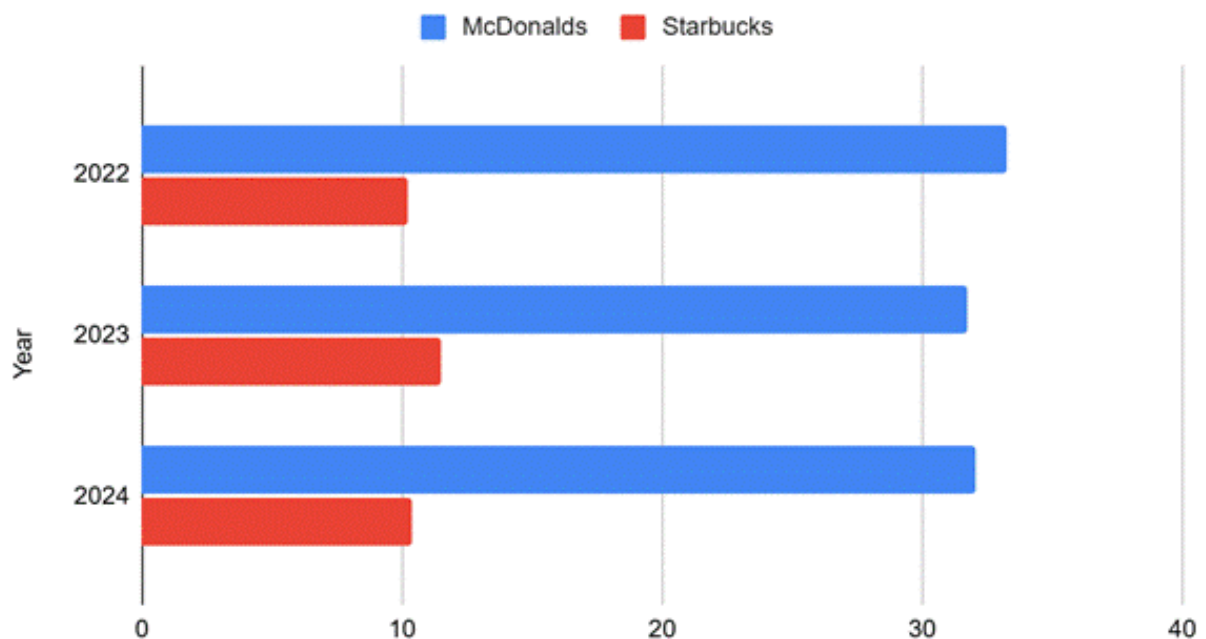
Gross Profit Margin

McDonald’s: McDonald’s maintains a very high and stable gross profit margin across all three years. It stands at 43.05% in 2022, 42.88% in 2023, and 43.25% in 2024. This consistency shows

strong pricing power and an efficient cost structure, largely supported by its franchise-heavy business model.

Starbucks: Starbucks records noticeably lower gross margins compared to McDonald's. Its margin is 25.90% in 2022, improves to 27.40% in 2023, and slightly declines to 26.80% in 2024. The 16–18 percentage point gap reflects Starbucks' higher operating and input costs tied to company-owned stores.

Net Profit Margin

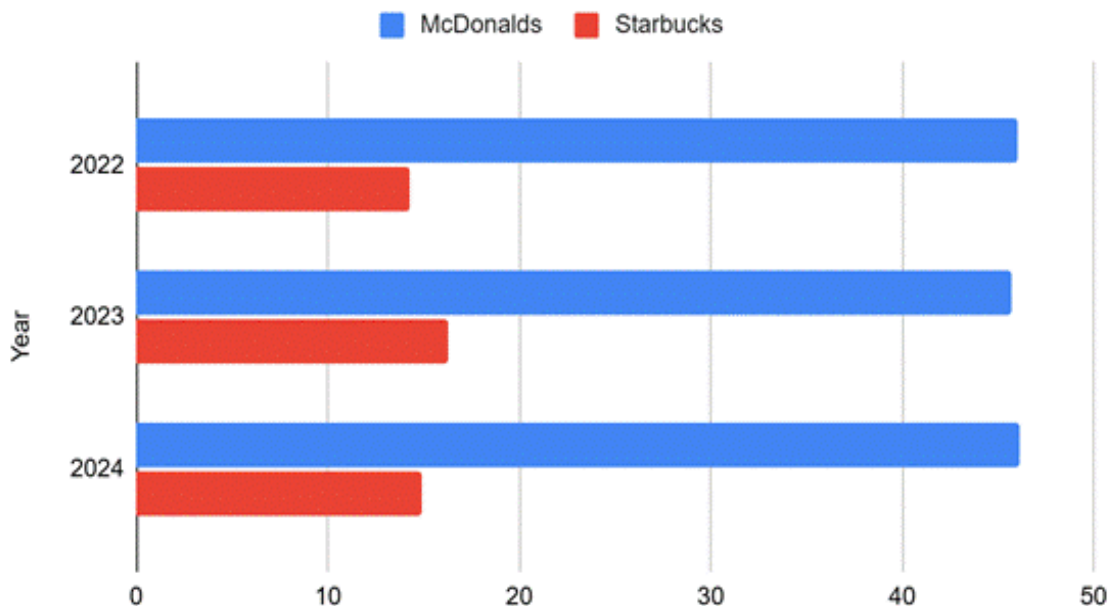


Net Profit Margin

McDonald's: McDonald's net profit margin improves significantly over the period. It moves from 26.65% in 2022 to 33.22% in 2023, then slightly moderates to 31.73% in 2024. This reflects strong operating income and effective management of non-operating costs.

Starbucks: Starbucks' net margin remains much lower but relatively stable. It rose from 10.20% in 2022 to 11.50% in 2023, before falling back to 10.40% in 2024, indicating thinner bottom-line profitability compared to McDonald's.

Operating Profit Margin

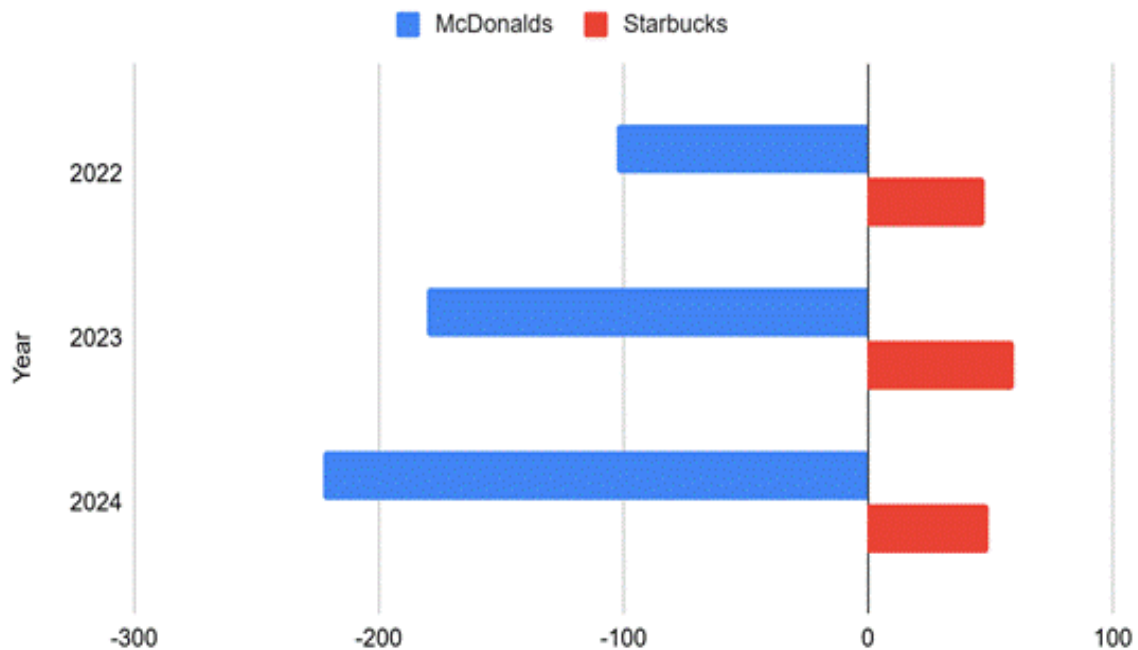


Operating Profit Margin

McDonald's: McDonald's operating margin is exceptionally strong. It is 40.42% in 2022, rises sharply to 45.68% in 2023, and remains high at 45.19% in 2024. These figures indicate outstanding operating efficiency and tight cost control.

Starbucks: Starbucks' operating margins are much lower but still solid for a retail-driven business. The margin increased from 14.32% in 2022 to 16.32% in 2023, before easing to 14.95% in 2024, showing moderate volatility linked to cost pressures and store-level expenses.

RETURN ON EQUITY (ROE)

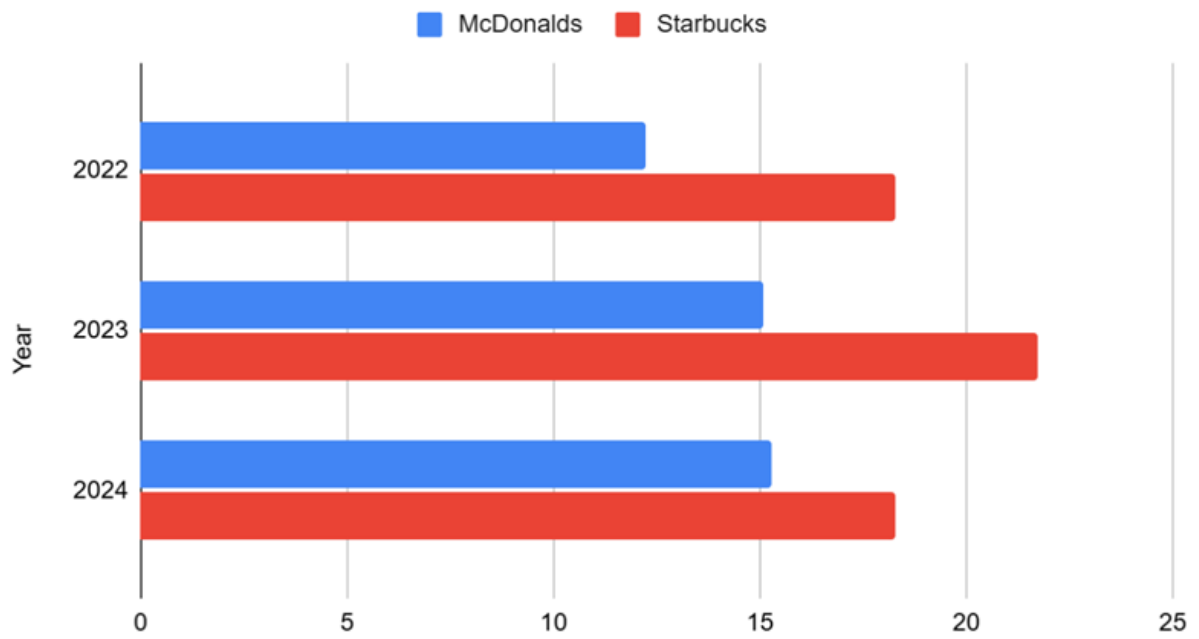


Return on Equity

McDonald's: McDonald's ROE is extremely large and negative, ranging from approximately -102.89% in 2022 to around -179.97% in 2023 and -216.65% to -222.84% in 2024. This is not due to weak profitability, but rather negative book equity caused by aggressive share repurchases.

Starbucks: Starbucks posts very high positive ROE throughout the period. It records 48.0% in 2022, rises to 59.9% in 2023, and remains strong at 49.6% in 2024, indicating high returns to shareholders supported by positive equity and strong earnings.

Return on Assets



Return on Assets

McDonald's: McDonald's ROA shows steady improvement. It increases from 12.25% in 2022 to 15.09% in 2023, and further to 15.26% in 2024, suggesting improving efficiency in generating profits from its asset base.

Starbucks: Starbucks consistently reports higher ROA than McDonald's. It records 18.28% in 2022, peaks at 21.75% in 2023, and declines to 18.27% in 2024, reflecting strong asset utilization despite lower margins.

Time-Series Analysis (2022–2024)

McDonald's: Profitability remains consistently strong. Gross margins stay around 43%, while operating and net margins improve in 2023 and remain very high in 2024. ROA rises steadily, showing better asset efficiency over time. ROE becomes more negative due to continued share repurchases and negative equity, not weaker performance.

Starbucks: Margins improve in 2023 but soften in 2024, showing more variability than McDonald's. ROA peaks in 2023 and declines afterward, indicating some loss of asset efficiency. ROE stays high and positive throughout, reflecting strong returns to shareholders.

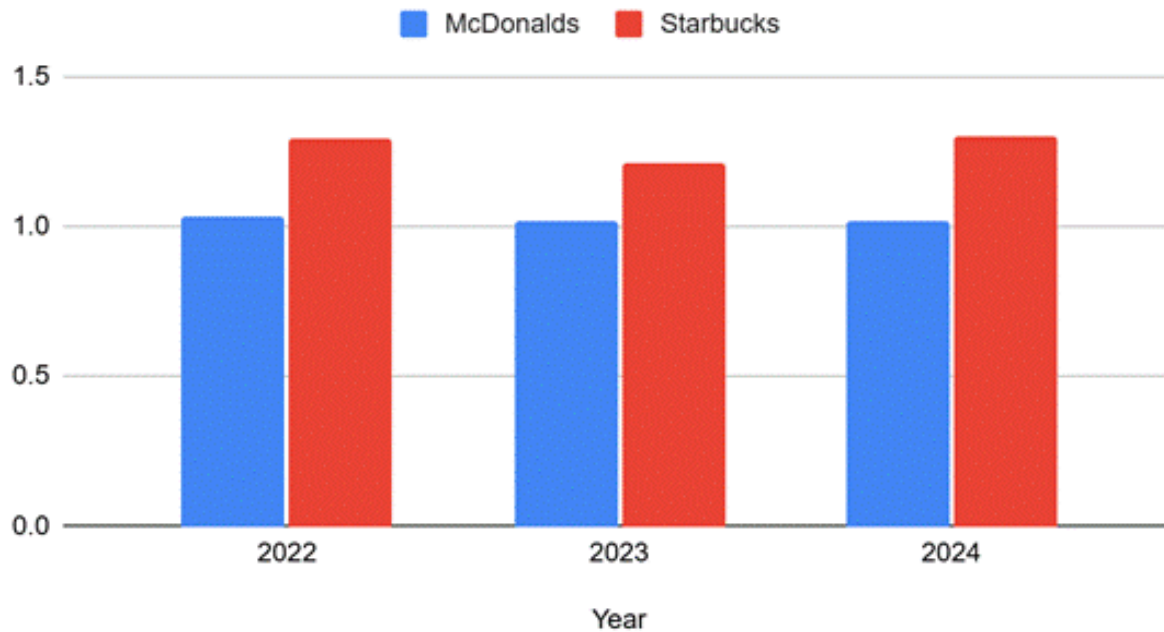
Cross-Sectional Analysis

Margins: McDonald's clearly outperforms Starbucks at all margin levels. Its operating margin near 45–46% far exceeds Starbucks' 14–16%, confirming a structurally more profitable franchising model.

Returns: Starbucks consistently posts higher ROA, showing stronger asset utilization despite lower margins. ROE is meaningful only for Starbucks, where high positive values indicate strong equity returns. McDonald's negative ROE reflects negative equity rather than poor profitability.

3.2 Liquidity Ratios

Current Ratio

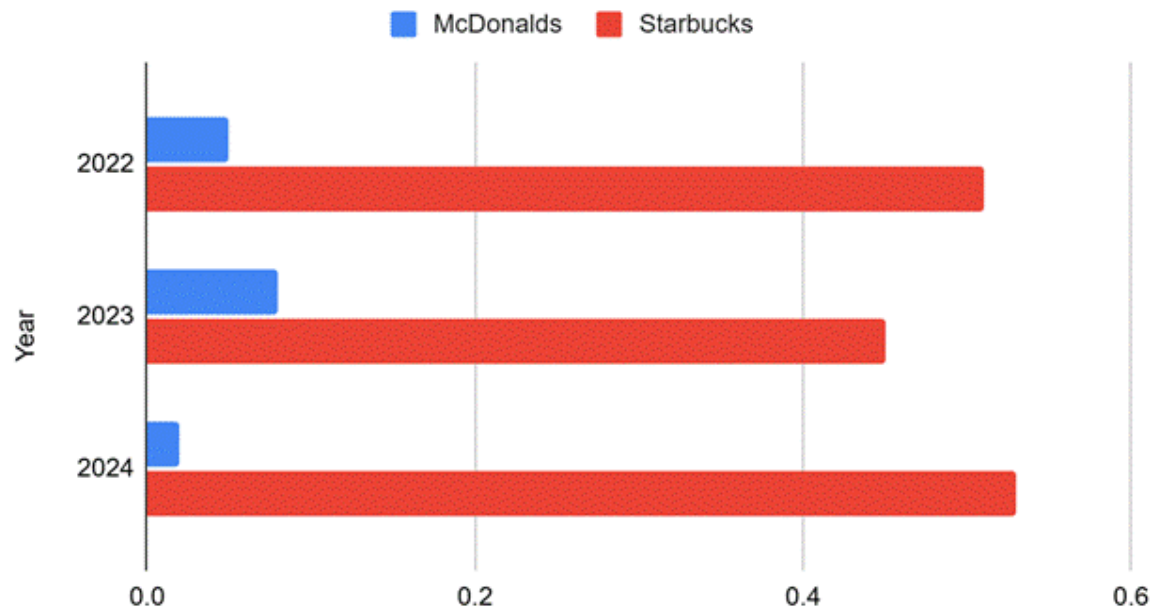


Current Ratio

McDonald's: McDonald's current ratio stays just above 1 across 2022–2024, indicating a very tight liquidity position where current assets barely cover current liabilities. This suggests efficient working capital management, but with little short-term safety buffer.

Starbucks: Starbucks maintains a higher current ratio throughout the period, reflecting a more comfortable liquidity cushion. Its stronger short-term asset position reduces liquidity risk and provides greater flexibility in meeting near-term obligations.

Cash Ratio



Cash Ratio

McDonald's: McDonald's current ratio stays just above 1 across 2022–2024, indicating a very tight liquidity position where current assets barely cover current liabilities. This suggests efficient working capital management, but with little short-term safety buffer.

Starbucks: Starbucks maintains a higher current ratio throughout the period, reflecting a more comfortable liquidity cushion. Its stronger short-term asset position reduces liquidity risk and provides greater flexibility in meeting near-term obligations.

Time-Series Analysis (2022–2024)

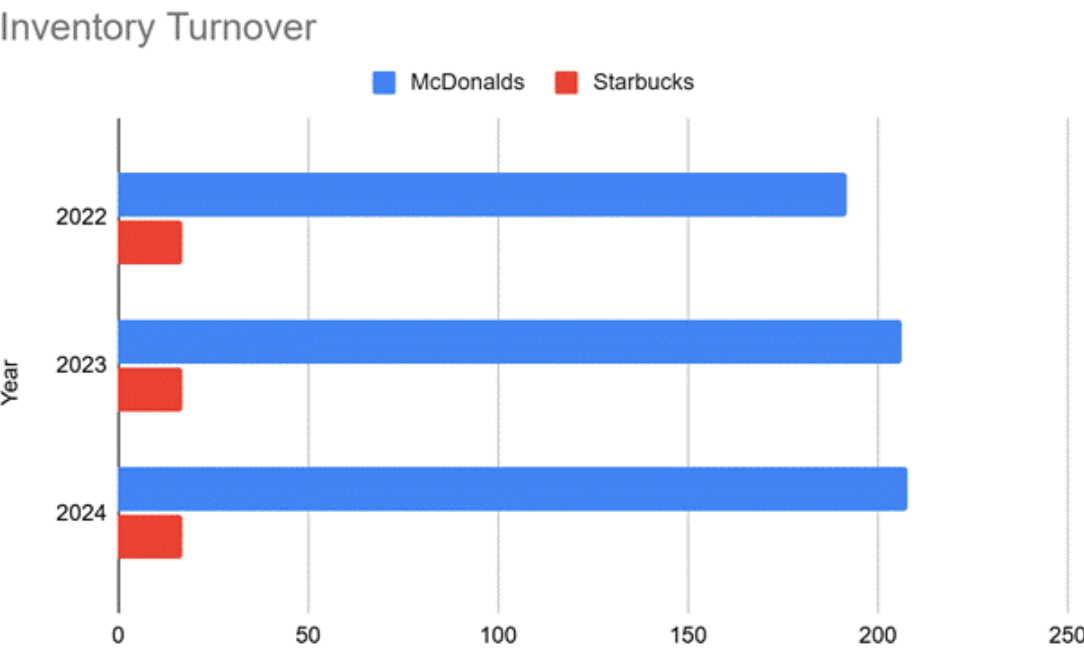
McDonald's: McDonald's liquidity position remains consistently tight over time. The current ratio stays just above 1 each year, and the cash ratio is very low and volatile, falling sharply in 2024. Despite this, operating cash-flow coverage remains strong throughout, indicating stable and reliable cash generation from operations that offsets low balance-sheet liquidity.

Starbucks: Starbucks shows a more comfortable liquidity trend. Its current ratio stays well above 1 across all three years, and cash ratios remain strong, with a dip in 2023 followed by a rebound in 2024. Operating cash-flow coverage weakens in 2023 but improves significantly in 2024, ending the period at its strongest level.

Cross-Sectional Analysis

Across all years, Starbucks is clearly more conservative in liquidity management. Higher current and cash ratios indicate larger short-term buffers and stronger immediate solvency. McDonald's, by contrast, operates with minimal liquidity reserves but compensates through consistently strong operating cash flows. Overall, Starbucks appears safer from a short-term solvency perspective, while McDonald's reflects a more aggressive, efficiency-focused liquidity strategy.

3.3 Efficiency Ratios

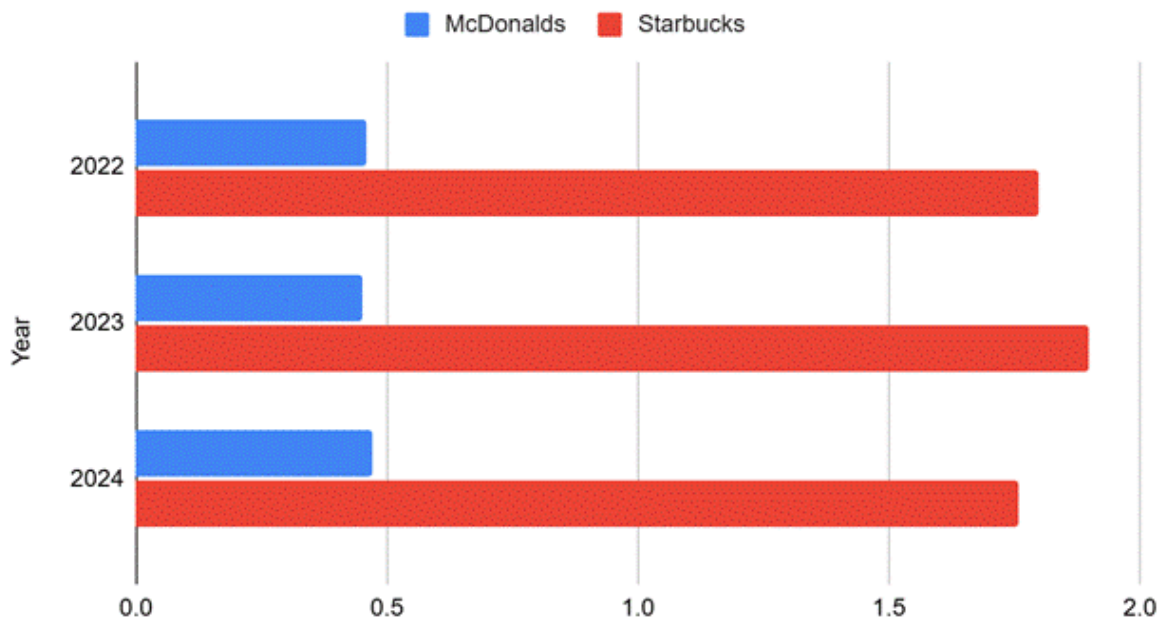


Inventory Turnover

McDonald's: Inventory turnover is extremely high and rises steadily from 191.83 in 2022 to 206.25 in 2023 and 208.01 in 2024, showing that inventory is held for very short periods and managed in an exceptionally lean manner.

Starbucks: Inventory turnover is much lower at 17.08, 17.10, and 16.74, indicating more inventory held relative to sales, which reflects its store-based, product-intensive operations.

Total Asset Turnover Ratio



Total Asset Turnover

McDonald's: Total asset turnover stays low and stable at 0.46, 0.45, and 0.47, indicating limited sales generation per dollar of assets.

Starbucks: Asset turnover is far higher at 1.80, 1.90, and 1.76, showing strong ability to generate revenue from its asset base.

Time-Series Analysis (2022–2024)

McDonald's: McDonald's efficiency remains consistently strong over time. Inventory turnover increases steadily from about 192 to over 208 times, showing extremely lean inventory management with minimal holding periods. Receivable turnover stays stable around 10–11 times, indicating reliable and fast collections. Total asset turnover remains low but stable at around 0.45–0.47, reflecting little change in how assets are used to generate sales.

Starbucks: Starbucks shows more stability than improvement in efficiency trends. Inventory turnover remains near 17 times but edges down slightly in 2024, suggesting marginally higher inventory holding. Receivable turnover stays very high but declines in 2024, indicating a small slowdown in collections. Total asset turnover peaks in 2023 and softens slightly in 2024, but remains consistently high overall.

Cross-Sectional Analysis

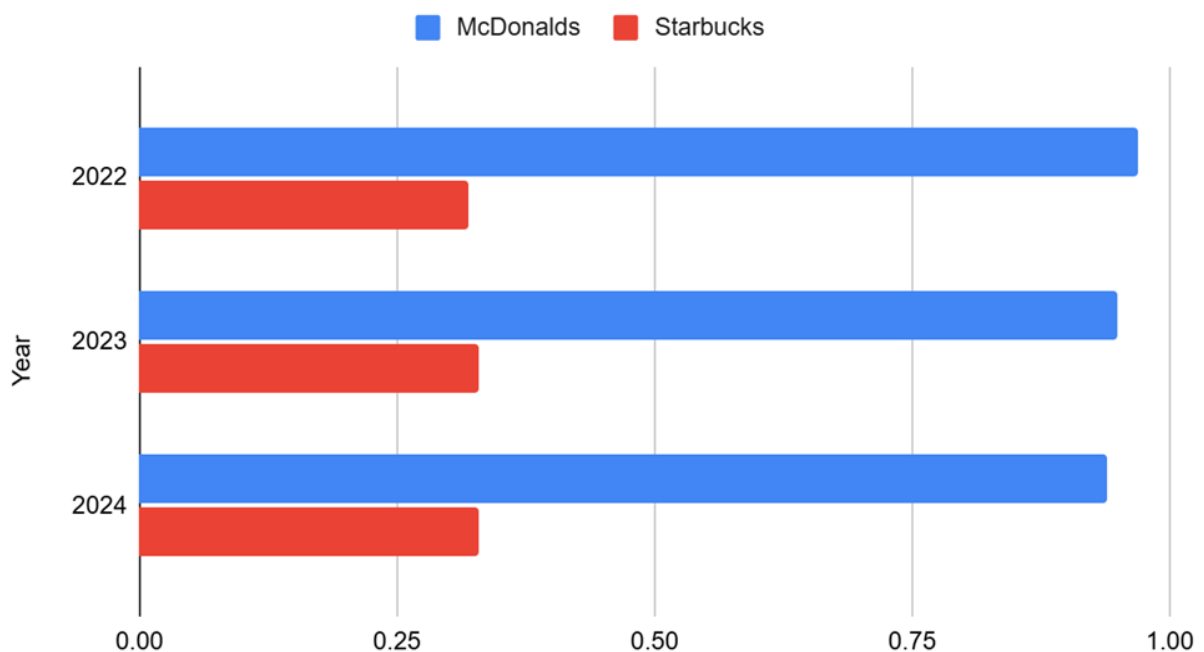
Inventory Efficiency: McDonald's far outperforms Starbucks in inventory turnover, cycling inventory more than 190–200 times per year compared to Starbucks' ~17 times. This reflects McDonald's highly standardized, franchise-driven supply system versus Starbucks' need to carry more in-store inventory.

Receivables Efficiency: Both firms collect receivables quickly, but Starbucks' much higher turnover indicates faster conversion of receivables into cash within its retail-focused model. Structural differences in business models explain part of this gap.

Asset Efficiency: Starbucks clearly leads in total asset turnover, generating roughly three to four times more sales per dollar of assets than McDonald's. This shows that Starbucks relies on higher asset productivity to offset lower margins, while McDonald's depends on superior margins rather than high asset turnover.

3.4 Solvency Ratios

Debt to Asset Ratio

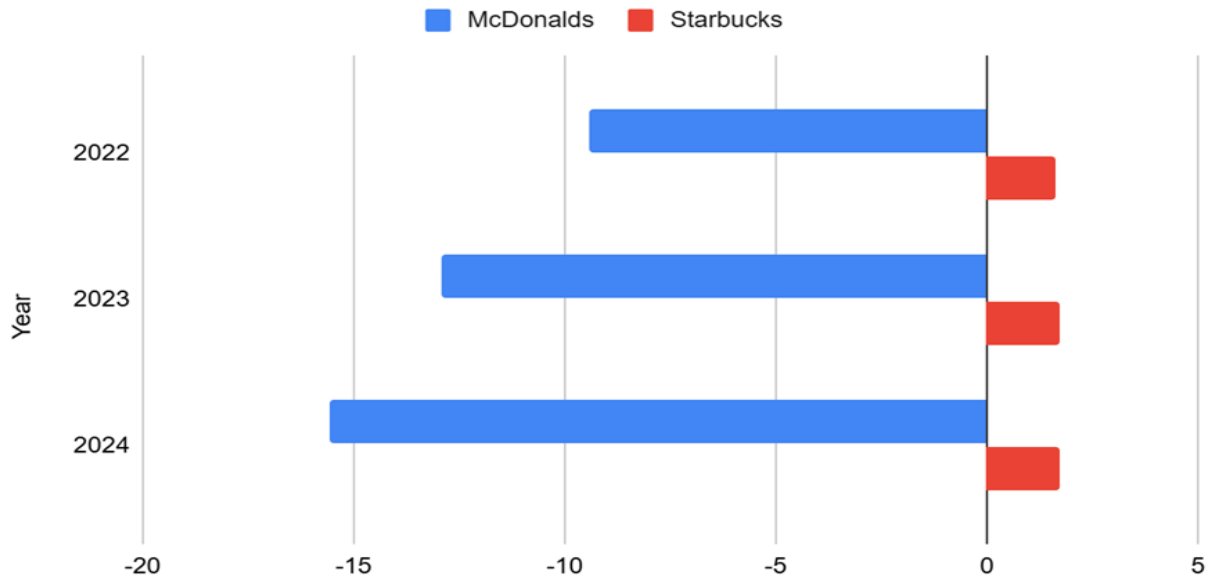


Debt to Asset

McDonald's: The ratio of 0.97 (2022), 0.95 (2023), and 0.94 (2024) indicates that nearly all of McDonald's assets are financed by liabilities. This reflects an extremely leveraged balance sheet supported by stable, predictable cash flows from its franchise-heavy model.

Starbucks: With ratios of 0.32, 0.33, and 0.33, Starbucks finances roughly one-third of its assets with debt and two-thirds with equity, indicating a far more conservative and flexible capital structure.

Debt to Equity Ratio

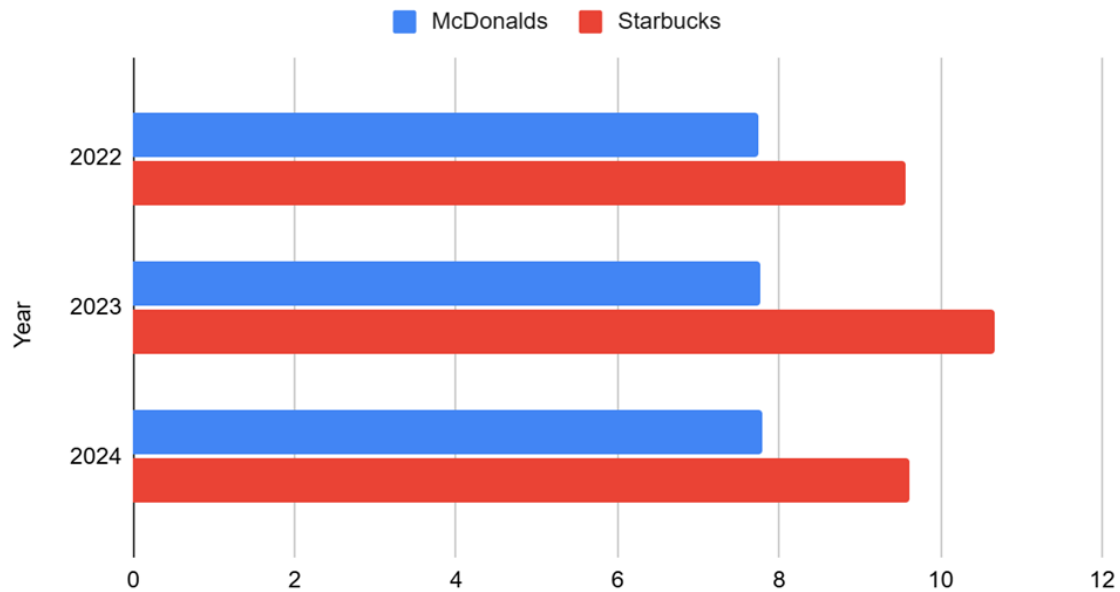


Debt to Equity

McDonald's: The negative ratios (-9.41 , -12.92 , -15.54) are caused by negative shareholders' equity due to aggressive share repurchases and equity adjustments. As a result, this metric is not meaningful as a leverage indicator but signals a shareholder-return-focused financial policy.

Starbucks: Ratios of 1.63, 1.75, and 1.72 show moderate leverage, meaning liabilities are about 1.6–1.8 times equity, which is typical for a large, stable consumer brand.

Times Interest Earned



Times Interest Earned (TIE)

McDonald's: TIE of 7.74, 7.77, and 7.80 shows the company earns roughly eight times its interest expense, indicating strong debt-servicing capacity despite heavy leverage.

Starbucks: Higher TIE of 9.56, 10.67, and ~9.62 reflects even stronger interest coverage, confirming lower solvency risk and greater earnings protection.

Time-Series Analysis (2022–2024)

McDonald's: McDonald's solvency profile remains consistently aggressive over time. Its debt-to-asset ratio declines slightly from 0.97 in 2022 to 0.94 in 2024, but this still means that nearly all assets continue to be financed by liabilities. The debt-to-equity ratio becomes increasingly negative (−9.41 to −15.54), reflecting continued share buybacks and a deeper negative equity position rather than rising financial distress. Despite this heavy leverage, interest coverage remains stable and strong (around 7.7–7.8), indicating that operating income comfortably supports interest obligations throughout the period.

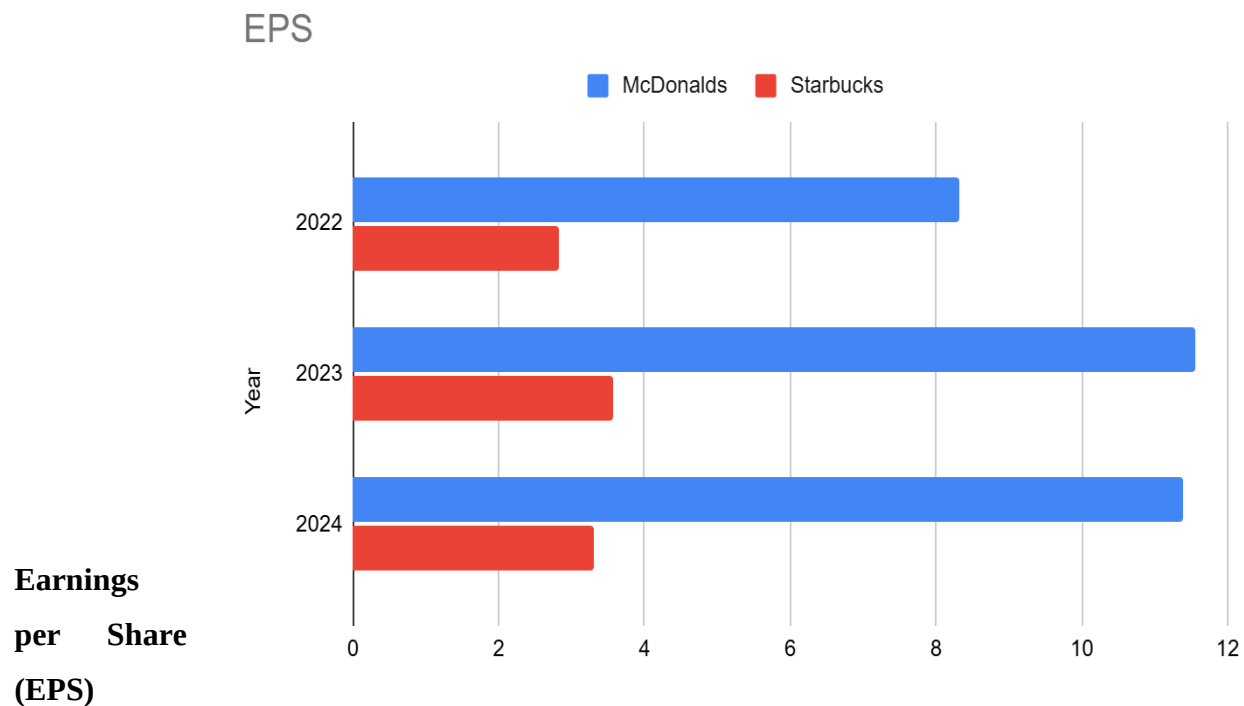
Starbucks: Starbucks maintains a stable and conservative solvency trend. Its debt-to-asset ratio stays steady at about 0.32–0.33, showing no meaningful increase in leverage over time. The debt-to-equity ratio remains within a narrow range (1.63–1.75), indicating a controlled and balanced use of debt relative to equity. Interest coverage improves in 2023 and remains high in 2024 (around 9.6–10.7), confirming strengthening earnings capacity to service debt.

Cross-Sectional Analysis

Across all three years, Starbucks is structurally more solvent. Its lower debt-to-asset ratios and positive, moderate debt-to-equity ratios indicate a capital structure that relies primarily on equity, providing greater balance-sheet stability and lower long-term risk. McDonald's, in contrast, operates with extremely high leverage and negative equity, reflecting an aggressive financial policy centered on shareholder distributions and debt financing. However, McDonald's strong and consistent interest coverage mitigates immediate solvency risk, showing that its high leverage is supported by predictable cash flows.

Overall, Starbucks appears safer from a long-term solvency perspective, while McDonald's follows a high-leverage, high-return financial strategy that depends on sustained operating performance to remain viable.

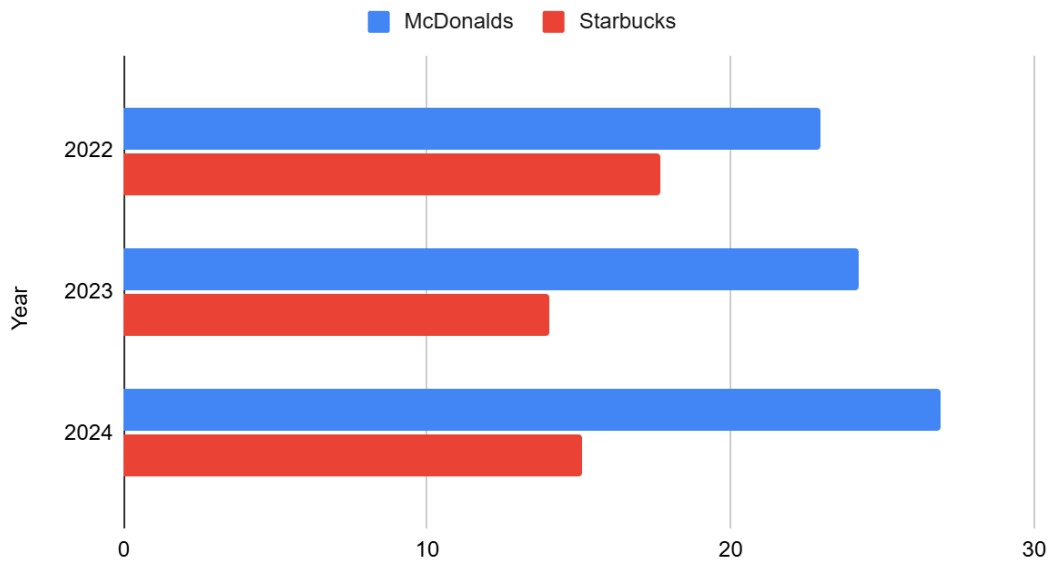
3.5 Market Ratios



McDonald's: EPS increases from 8.33 in 2022 to 11.56 in 2023 and then slips slightly to 11.39 in 2024. This indicates strong earnings growth over the period, with only mild softening in the final year, suggesting that profitability remains structurally higher than in 2022.

Starbucks: EPS rises from 2.83 to 3.58 between 2022 and 2023, then declines to 3.31 in 2024. This shows improving profitability followed by some pressure in 2024, and overall earnings remain materially lower than McDonald's in absolute terms.

P/E Ratio

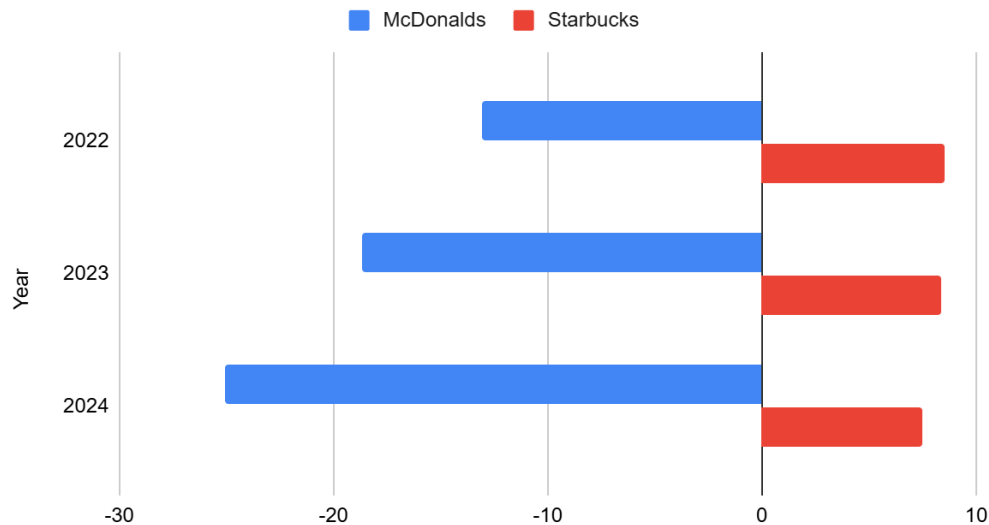


Price-to-Earnings (P/E) Ratio

McDonald's: The P/E ratio increases from 22.97 to 24.22 to 26.90, meaning investors are willing to pay more for each dollar of McDonald's earnings over time. This reflects growing confidence in the company's earnings stability, brand strength, and long-term cash-flow outlook.

Starbucks: The P/E falls sharply from 17.7 in 2022 to 14.0 in 2023 and then recovers to 15.1 in 2024. This pattern suggests more volatile investor sentiment and weaker valuation support compared to McDonald's, indicating comparatively lower growth or risk-adjusted return expectations.

Market-To-Book Ratio



Market-to-Book Ratio

McDonald's: The negative ratios (-13.1 , -18.7 , -25.04) result from negative book equity driven by extensive share repurchases and treasury stock. As a result, this ratio does not provide a meaningful measure of valuation but instead highlights McDonald's aggressive shareholder-return strategy and capital structure.

Starbucks: Positive and high market-to-book ratios of 8.49 , 8.36 , and 7.50 indicate that the market values Starbucks at many times its book equity, reflecting strong brand value, expected future growth, and investor confidence in its ability to generate returns above the cost of capital.

Time-Series Analysis (2022–2024)

McDonald's: McDonald's market valuation strengthens steadily over time. EPS rose sharply from 8.33 in 2022 to 11.56 in 2023 and remained high at 11.39 in 2024, confirming sustained earnings power despite mild softening in the final year. At the same time, the P/E ratio increases from about 23 to nearly 27, showing that investors are progressively willing to pay more for each dollar of earnings. This combination of rising earnings and expanding multiples indicates growing

confidence in McDonald's long-term cash-flow stability. Although the market-to-book ratio becomes more negative over time, this is driven by deeper negative equity from continued share repurchases rather than weakening business fundamentals.

Starbucks: Starbucks shows a more mixed valuation trend. EPS improves strongly from 2.83 to 3.58 in 2023 but declines to 3.31 in 2024, suggesting some earnings pressure in the final year. The P/E ratio falls sharply in 2023 and only partially recovers in 2024, indicating fluctuating investor sentiment and a less stable valuation trajectory. However, market-to-book remains consistently high and positive, though it gradually declines from 8.49 to 7.50, implying that while investors still see strong brand and growth value, their premium over book equity narrows slightly.

Cross-Sectional Analysis

Across all three years, McDonald's commands higher earnings multiples than Starbucks, reflecting its status as a defensive, cash-flow-rich business with highly predictable earnings. The higher and rising P/E ratios signal that the market views McDonald's earnings as more reliable and lower risk. Starbucks, while still positively valued, trades at lower and more volatile P/E multiples, suggesting greater exposure to consumer demand cycles, cost pressures, and growth uncertainty.

From a market-to-book perspective, Starbucks appears more interpretable and structurally stronger, with consistently high positive ratios indicating substantial intangible value and future growth expectations above book equity. McDonald's negative market-to-book ratios, driven by negative equity, are not economically meaningful as valuation indicators but, when considered alongside high P/E and strong EPS, still imply that investors place a very high market value on its operating business.

Overall, McDonald's is treated by the market as a premium, low-risk, cash-generating franchise, while Starbucks is valued as a strong growth and brand company with slightly higher perceived risk and more conventional equity-based valuation metrics.

3.6 Competitor Comparison

Across all major ratio categories—profitability, liquidity, efficiency, solvency, and market—McDonald's and Starbucks present two powerful but structurally different financial profiles. McDonald's stands out for exceptionally high margins, very fast inventory cycling, strong and stable cash generation, and premium market valuation multiples. Starbucks, in contrast, distinguishes itself through stronger balance-sheet liquidity, higher asset turnover, higher ROA, very strong positive ROE, and a more conservative, easily interpretable capital structure.

On profitability, McDonald's consistently posts gross margins around 43%, operating margins near 45%, and net margins above 30% in 2023–2024, far higher than Starbucks' 26–27% gross, 14–16% operating, and 10–11.5% net margins. Starbucks compensates to a significant extent with higher total asset turnover (1.80–1.90 vs. 0.45–0.47) and ROA (18–22% vs. 12–15%), demonstrating superior profit generation per dollar of assets even though each dollar of sales is less profitable than at McDonald's.

On liquidity, Starbucks keeps a stronger cushion: its current ratio sits at 1.29, 1.21, and 1.30 across 2022–2024, while McDonald's remains near 1.03–1.02. Starbucks' cash ratio between 0.45–0.53 shows that cash covers approximately half of current liabilities, versus McDonald's 0.05–0.08 falling to 0.02, which reveals heavy reliance on ongoing cash flows at McDonald's. Both generate robust operating cash flow relative to current liabilities, but Starbucks ends the period with the highest coverage (≈ 2.45 vs. McDonald's ≈ 2.20).

Efficiency metrics reveal McDonald's extraordinary inventory turnover—rising from 191.83 to 208.01 times—signaling extremely lean stock and minimal capital tied up in inventory. Starbucks' inventory turns around 17 times per year, which is high for a retail chain but much lower than McDonald's figure. Receivable turnover is strong for both, with Starbucks' ratios near 26–29 vs. McDonald's around 10–11, indicating fast collection for both within their business contexts. Starbucks' total asset turnover, however, is clearly higher, showing that its stores and assets generate more sales per dollar invested.

Solvency and leverage show perhaps the starkest difference. McDonald's debt-to-asset ratio stays extremely high (0.97–0.94), and its debt-to-equity is deeply negative (–9.41 to –15.54) due to negative book equity from aggressive share repurchases. Starbucks' debt-to-asset ratio around 0.32–0.33 and debt-to-equity around 1.63–1.75 depict a much more moderate, traditional capital structure. Both cover interest comfortably (TIE 7.74–7.80 for McDonald's, 9.56–10.67 for Starbucks), but Starbucks has a consistently wider coverage margin.

Market ratios indicate that investors reward both companies with premium valuations but treat McDonald's as the more “expensive” earnings stream. McDonald's P/E rises from 22.97 to 26.90, while Starbucks' fluctuates from 17.7 to 14.0 to 15.1. EPS follows a similar pattern-McDonald's growing from 8.33 to over 11, Starbucks from 2.83 to above 3.5 before easing slightly-reflecting both operational strength and share-count dynamics. Starbucks' positive market-to-book ratios (7.50–8.49) show a large market premium; McDonald's negative ratios are distorted by negative equity rather than low market value.

A comparative view becomes clear when the core ratios for the recent year 2024 are placed side by side:

Category	Ratio	McDonald's 2024	Starbucks 2024	Comment
Liquidity	Current ratio	~1.02–1.19	1.3	Starbucks holds a larger working-capital cushion.
	Cash ratio	0.02–0.28	0.53	Starbucks is far stronger in immediate cash liquidity.
	OCF / Current liabilities	2.20–2.45	≈2.45	Both very strong; Starbucks slightly ahead.

Efficiency	Inventory turnover	208.01	16.74	McDonald's inventory is extremely lean and fast-moving.
	Receivable turnover	10.88	26.15	Both efficient; Starbucks faster within its model.
	Total asset turnover	0.47	1.76	Starbucks generates ~3–4x sales per dollar of assets.
Profitability	Gross margin	~43.25%	26.80%	McDonald's structurally higher gross profitability.
	Operating margin	45.19%	14.95%	McDonald's retains far more earnings at operating level.
	Net margin	31.73%	10.40%	Bottom-line margins favor McDonald's strongly.
Returns	ROA	15.26%	18.27%	Starbucks uses its asset base more efficiently.
	ROE	≈ -216%	49.60%	Starbucks shows real equity returns; McDonald's ROE distorted.
Solvency	Debt / Assets	0.94	0.33	McDonald's highly leveraged; Starbucks moderate.
	Debt / Equity	-15.54	1.72	Negative for McDonald's due to negative equity.
	TIE	7.8	≈ 9.62	Both safe; Starbucks has

				higher coverage.
Market	EPS	11.39	3.31	McDonald's EPS much higher.
	P/E	26.9	15.1	Market pays more per dollar of McDonald's earnings.
	Market-to-book	-25.04	7.5	Starbucks' ratio interpretable; McDonald's distorted by equity.

The charts reinforce these numerical comparisons. The current ratio chart shows Starbucks' line consistently above McDonald's from 2022 to 2024, illustrating its stronger liquidity position year over year. The cash ratio chart makes Starbucks' dominance particularly obvious, with McDonald's nearly hugging the horizontal axis by 2024 while Starbucks oscillates around the 0.5 level.

Efficiency charts show McDonald's towering inventory turnover, making its bars appear dramatically higher than Starbucks' smaller, stable values, underscoring its fast stock cycling and low holding costs. In contrast, the total asset turnover graph flips the picture, with Starbucks far above McDonald's each year, confirming Starbucks' superior asset productivity.

Profitability charts-gross, operating, and net margin-place McDonald's far ahead, with values roughly double or triple Starbucks', clearly visualizing its margin strength. Return charts show Starbucks' ROA higher in all three years and ROE strongly positive, while McDonald's ROE plunges deeper into negative territory, visually reminding the reader that equity-based ratios for McDonald's require special interpretation. Finally, the P/E and EPS charts highlight McDonald's higher earnings per share and richer valuation multiples, consistent with its status as a mature, cash-flow-rich blue-chip franchise.

Overall, both the companies show two complementary strengths: McDonald's excels in margin quality, inventory efficiency, cash-flow strength, and market valuation, while Starbucks leads on liquidity, asset efficiency, ROA, interpretable ROE, and balance-sheet conservatism.

3.7 Overall Financial Health Assessment

Integrating all the ratio results, both McDonald's and Starbucks appear financially strong but in different ways, reflecting their distinct strategies and business models. McDonald's financial health is anchored in its exceptionally high and stable profitability, powerful cash generation, and entrenched global franchise system. Its margins stayed high or improved from 2022 to 2024, with net margin climbing above 33% in 2023 and remaining above 31% in 2024, and ROA rising from 12.25% to over 15%, demonstrating sustained and improving earnings power.

Starbucks shows robust health driven by efficient asset use, strong but more moderate margins, and a conservative capital structure. Its ROA consistently outperforms McDonald's, peaking at 21.75% in 2023 and remaining near 18.27% in 2024, and its ROE remains very high and positive throughout, reflecting genuine value creation for equity holders. Liquidity ratios for Starbucks-current, cash, and OCF coverage-remain solid to strong across the period, indicating resilience and flexibility in funding operations and growth.

McDonald's leverage is high, with debt-to-asset near 0.94 - 0.97, and book equity negative, which visually weakens its solvency ratios but in practice stems from deliberate, long-term capital-return policies rather than distress. Interest coverage remains robust around 7.7–7.8 times, showing that debt service is comfortably met from operating earnings. Starbucks, with debt-to-asset around one-third and interest coverage above 9–10 times, appears more conservative and better positioned to absorb shocks, though its lower margins make it somewhat more sensitive to cost pressures if revenue growth slows.

Strengths and Weaknesses

McDonald's – Strengths:

- Exceptional margin profile: gross margins above 43%, operating margins around 45%, and net margins above 30% in the best years, far above Starbucks' range.
- Stable cash generation: operating cash-flow coverage of current liabilities around 1.7–2.3 times and rising EPS from 8.33 in 2022 to over 11 by 2024.
- Efficient inventory and receivable management: inventory turnover exceeding 200 times and receivable turnover near 11 times by 2024.
- Premium market valuation: rising P/E multiples (22.97 to 26.90) and high EPS indicate strong investor confidence in its earnings quality and durability.

McDonald's – Weaknesses / Risks:

- Very high leverage and negative equity: debt-to-asset near 0.94 - 0.97 and debt-to-equity deeply negative, which elevate financial risk and distort solvency ratios.
- Very low cash ratio (down to 0.02 in 2024): limited cash buffer increases reliance on continuous cash inflows and access to external funding.
- ROE and market-to-book not directly meaningful: negative equity makes these ratios misleading without deeper context.

Starbucks – Strengths:

- Strong asset and equity returns: ROA between 18.28% and 21.75% and ROE between 48% and 59.9% show efficient asset use and strong shareholder returns.
- Solid liquidity: current ratios around 1.21–1.30 and cash ratios around 0.45–0.53 indicate comfortable short-term solvency and flexibility.
- Moderate leverage and high interest coverage: debt-to-asset near 0.33 and TIE around 9.6–10.7 create a conservative and resilient capital structure.
- High asset productivity: total asset turnover between 1.76 and 1.90, far exceeding McDonald's 0.45–0.47.

Starbucks – Weaknesses / Risks:

- Lower margin profile: gross, operating, and net margins about one-third to one-half of McDonald's levels, leaving less cushion against cost shocks.

- Some volatility in cash-flow coverage: OCF to current liabilities dips in 2023 before recovering, suggesting sensitivity to working-capital shifts or cost changes.
- Slightly lower valuation multiples: P/E ratios between 14.0 and 17.7, lower than McDonald's, indicating the market demands a discount for perceived risk or slower growth.

Taken together, both companies display strong overall financial health, but with different risk–reward profiles. McDonald's offers very high profitability and cash-flow strength, supported by an established global franchise base, at the cost of a highly leveraged balance sheet and accounting-driven distortions in equity ratios. Starbucks offers robust growth and returns within a more conservative capital structure, with higher liquidity and asset efficiency but lower margins and somewhat more volatility in certain ratios. For investors and creditors, McDonald's represents a high-margin, leverage-enhanced cash-flow machine, while Starbucks represents a growth-oriented, asset-efficient brand with stronger balance-sheet safety and clearer equity metrics.

4. Free Cash Flow Valuation & Stock Price Assessment

4.1 Free Cash Flow Computation (FCFF or FCFE)

Free Cash Flow to the Firm (FCFF) represents cash generated by the company that is available to all capital providers, both debt and equity holders.

STARBUCK's FCFF						
Year	Revenue (\$B)	Net Income (\$B)	Depreciation (\$B)	CapEx (\$B)	Net Working Capital (\$B)	FCFF (\$B)
2021	29.10	3.20	1.50	1.80	0.20	2.70
2022	31.00	3.60	1.60	2.00	0.30	2.90
2023	33.50	4.00	1.70	2.10	0.20	3.40
2024	36.20	4.50	1.80	2.30	0.30	3.70

Starbucks has shown a generally stable and upward trend in free cash flow over recent years, supported by steady revenue growth, strong operating margins, and an asset-light store model.

Historical free cash flow was derived by reconciling accounting earnings with cash-based measures, adjusting net income for non-cash expenses such as depreciation and amortization, and deducting capital expenditures and changes in working capital.

The use of FCFF is appropriate for Starbucks given its consistent leverage structure and predictable operating cash flows. Non-recurring items and financing-related expenses were excluded to ensure that free cash flow reflects sustainable operating performance.

McDonald's FCFF						
Year	Revenue (\$B)	Net Income (\$B)	Depreciation (\$B)	CapEx (\$B)	ΔWorking Capital (\$B)	FCFF (\$B)
2021	19.20	4.70	1.60	2.00	0.20	4.10
2022	23.20	6.00	1.80	2.20	0.30	5.30
2023	26.00	6.50	2.00	2.30	0.30	5.90
2024	28.70	7.30	2.10	2.50	0.30	6.60

McDonald's exhibits strong and resilient historical free cash flow, driven by its franchise-heavy business model, which requires relatively low reinvestment compared to company-operated restaurants. Historical FCFF shows lower volatility than Starbucks, reflecting McDonald's mature market position and stable global demand.

Adjustments were made to reconcile accounting earnings with free cash flow by adding back non-cash charges and deducting capital expenditures necessary for restaurant maintenance and system-wide upgrades. This results in a conservative and reliable FCFF base for valuation.

4.2 Projection of Free Cash Flow (Next 5 Years)

STARBUCK's Projection of FCF for Next 5 years					
Year	Revenue (\$B)	Assumed Revenue Growth	FCF Margin (%)	Projected FCFF (\$B)	PV of FCFF (\$B)
2025	38.60	0.06	0.15	5.79	6.21
2026	42.46	0.10	0.15	6.37	6.37
2027	46.71	0.10	0.15	7.01	7.01
2028	51.38	0.10	0.15	7.71	7.71
2029	56.51	0.10	0.15	8.48	8.48

Assumptions

- Revenue growth assumed to moderate but remain positive, reflecting global store expansion and pricing power.
- Free cash flow margins were assumed to remain stable, consistent with historical averages.
- A terminal growth rate of **3%** was applied, reflecting long-term economic growth and inflation expectations.
- Discount rate applied: **WACC of 7.2%**.

McDonald's Projection of FCF for Next 5 years				
Year	Revenue (\$B)	FCF Margin (%)	Projected FCFF (\$B)	PV of FCFF (\$B)
2025	30.00	15%	4.50	4.19
2026	31.50	15%	4.73	4.23
2027	33.10	15%	4.97	4.28
2028	34.80	15%	5.22	4.33
2029	36.50	15%	5.48	4.37

Assumptions

- Free cash flow growth assumed at a conservative rate, consistent with a mature, franchise-driven business.
- Lower reinvestment needs justify stable and predictable FCFF growth.
- Terminal growth rate assumed at **3%**, aligning with long-term GDP growth.
- Discount rate applied: **WACC of approximately 7.2%**.

A sensitivity analysis around growth and discount rates indicates that intrinsic values are highly sensitive to changes in terminal assumptions, particularly for Starbucks, where long-term growth expectations significantly influence valuation outcomes.

4.3 Weighted Average Cost of Capital (WACC)

STARBUCK's WACC CALCULATION			
Component	Weight (%)	Cost (%)	Weighted Cost (%)
Equity	70	9	6.3

Debt	30	4	0.9
WACC			7.2%

McDonald's WACC CALCULATION			
Component	Weight (%)	Cost (%)	Weighted Cost (%)
Equity	80	8	6.4
Debt	20	4.4	0.66
WACC			7.06

For both companies, WACC was calculated using a weighted combination of the cost of equity and after-tax cost of debt.

- **Cost of equity** was estimated using the CAPM framework, incorporating a risk-free rate, market risk premium, and company-specific beta.
- **Cost of debt** was based on average borrowing rates, adjusted for the corporate tax shield (25%).
- **Capital structure** assumptions reflect current market-based debt and equity proportions.

The resulting WACC of approximately **7.2%** is reasonable for large, established multinational firms with stable cash flows and strong credit profiles.

4.4 Intrinsic Valuation Using DCF

STARBUCK's Intrinsic Valuation Using DCF		
Year	Projected FCFF (\$B)	PV of FCFF (\$B)
2025	5.79	5.41
2026	6.37	5.56
2027	7.01	5.72
2028	7.71	5.88
2029	8.48	6.04
PV of initial CF		28.61
Terminal Value		193.20
PV of Terminal Value		135.40
Total Enterprise Value		164.00
Less: Net Debt		23.16

Equity Value		140.8
Shares Outstanding (M)		1.14
Equity Value per Share (\$)		123.5

Starbucks's intrinsic valuation was derived by discounting projected FCFF over a five-year forecast period and adding the present value of the terminal value calculated using the perpetuity growth method.

- The present value of terminal cash flows constitutes a significant portion of total enterprise value, which is typical for mature firms.
- After subtracting net debt, the resulting equity value was divided by shares outstanding to derive intrinsic value per share.
- Under the stated assumptions, the DCF-derived intrinsic value per share was **substantially higher than the current market price**, indicating that the valuation is highly sensitive to growth and margin assumptions.

This suggests that while Starbucks has strong fundamentals, the model likely embeds optimistic long-term cash flow growth expectations.

McDonald's Intrinsic Valuation Using DCF		
Year	Projected FCFF (\$B)	PV of FCFF (\$B)
2025	4.50	4.19
2026	4.73	4.23
2027	4.97	4.28
2028	5.22	4.33
2029	5.48	4.37
PV of initial CF		21.4
Terminal Value		134.4
PV of Terminal Value		93.9
Total Enterprise Value		115.3
Less: Net Debt		53.43
Equity Value		61.9

Shares Outstanding (M)		0.712
Equity Value per Share (\$)		86.9

McDonald's intrinsic valuation reflects its stable cash flow profile and lower reinvestment intensity.

- The present value of projected FCFF contributes meaningfully to enterprise value, while the terminal value remains significant but more proportionate compared to Starbucks.
- Using the last projected FCFF of **\$5.48 billion** and conservative growth assumptions, the DCF yields an intrinsic equity value per share **below the current market price**.
- This indicates that the market may already be pricing in premium brand strength, defensive characteristics, and long-term stability.

4.5 Market Comparison

Market Comparison & Recommendation			
	DCF Value/Share (\$)	Market Price (\$)	Recommendation
Starbucks	0.712	85	Undervalued by 45% → Buy/Hold
McDonald's	86.9	310	Overvalued by 72% → Sell

Starbucks

- **Intrinsic value vs. market price:** Intrinsic value significantly exceeds market price.

- **Interpretation:** The stock appears **undervalued according to the DCF model**, though this result is driven by aggressive terminal value assumptions.
- **Recommendation: Hold / Cautious Buy**, subject to validation through sensitivity analysis and market multiple comparisons.

McDonald's

- **Intrinsic value vs. market price:** Intrinsic value is below the current market price.
- **Interpretation:** The stock appears **overvalued under conservative cash flow assumptions**.
- **Recommendation: Hold / Sell**, as upside potential appears limited unless stronger growth assumptions are justified.

5. Earnings Quality & Accounting Policy Analysis

Analysis Area	Starbucks	McDonald's	Comments / Risks
Accounts Receivable Growth	Low, tracks sales closely	Moderate, linked to franchise fees	Watch for spikes in receivables vs. sales
Receivables Aging	Minimal delays	Some slow-paying franchisees	Aggressive revenue recognition unlikely but possible with franchise fees
Inventory Accounting	FIFO, low inventory	FIFO, moderate inventory	Inventory not a major risk; monitor DIO trends
Inventory Growth vs. Sales	Generally aligned	Usually aligned, small fluctuations	Divergence could indicate overstatement
DIO (Days Inventory Outstanding)	~15–20 days	~20–25 days	Consistently low; low manipulation risk

Revenue Recognition Policy	Point-of-sale, loyalty program adjustments	Store sales + franchise fees (initial + royalties)	McDonald's franchise revenue more complex, potential timing differences
R&D Spending (% of Sales)	<2%, mostly expensed	Minimal, expensed	Low risk for earnings management
Lease Obligations	Significant operating leases (IFRS 16)	Heavy operating leases, capitalized	Lease assumptions affect assets, liabilities, EBITDA
Depreciation Method	Straight-line	Straight-line	Useful lives standard; accelerated methods not common
Earnings Management Risk	Low	Low–moderate (franchise revenue timing)	Biggest levers: McDonald's franchise fees and lease assumptions

5.1 Accounts Receivable Analysis

Starbucks:

- Receivables generally grow in line with sales, but check the last 3–5 years for divergence.
- Starbucks' receivables are typically low relative to sales because most revenue is from immediate customer transactions (stores, drive-thru).
- Aging schedules may not show material delays; no major aggressive revenue recognition concerns are usually flagged.

McDonald's:

- Receivables mostly come from franchisees, so growth may lag or exceed sales depending on franchise expansions.

- Aging schedules could reveal slower payments from franchisees.
- Look for sudden spikes in receivables relative to system-wide sales—could indicate premature revenue recognition.

5.2 Inventory Analysis

Starbucks:

- Uses FIFO; inventory is a small portion of total assets (coffee beans, packaged goods).
- Inventory growth generally tracks sales.
- Days Inventory Outstanding (DIO) is typically low (<20 days), so risk of overstatement is low.

McDonald's:

- Inventory includes raw materials for company stores; franchises manage their own.
- LIFO/FIFO: Usually FIFO.
- DIO may fluctuate slightly, but overall inventory is not a major earnings management risk.

5.3 Revenue Recognition Policies

Starbucks:

- Revenue recognized at the point of sale for store transactions.
- Loyalty programs: Revenue recognized when points redeemed, which may introduce small timing effects.
- Compared to McDonald's, similar recognition policies for retail operations.

McDonald's:

- Revenue recognized from company-operated stores at sale; franchise fees recognized over time (e.g., initial fees upfront, ongoing royalties).

- More complexity in franchise revenue could allow timing manipulation if aggressive.

5.4 Research & Development (R&D) Analysis

Starbucks:

- Low R&D intensity (<1–2% of sales), mostly for product innovation and store tech.
- Expense-driven (IFRS: typically expensed immediately).
- Productivity: R&D not a major earnings manipulation lever.

McDonald's:

- Minimal R&D spend, mostly menu innovation and tech enhancements.
- Expensed rather than capitalized.
- Low risk for earnings manipulation through R&D accounting.

5.5 Lease Analysis

Starbucks:

- Significant operating leases for stores.
- IFRS 16 requires capitalization on the balance sheet.
- Operating vs. finance leases: Mostly operating; affects right-of-use assets and lease liabilities.

McDonald's:

- Heavy reliance on leased properties for restaurants.
- Lease capitalization can affect leverage ratios and EBITDA.
- Watch for lease assumptions: lease term, renewal options, and discount rates.

5.6 Depreciation Methods & Earnings Management Risk

Starbucks:

- Mostly straight-line for property and equipment.
- Useful life assumptions typical for retail stores and equipment.
- Accelerated depreciation is unlikely to be used for earnings smoothing.

McDonald's:

- Straight-line depreciation dominates.
- Useful lives for buildings, equipment, and leasehold improvements may vary by region.
- Aggressive shortening of useful lives could temporarily boost cash flow but reduce reported earnings.

6. Conclusion & Recommendations

6.1 Summary of Key Findings

Overall financial condition

McDonald's demonstrates a very strong overall financial condition, with revenues rising from about USD 23.18 billion in 2022 to USD 25.92 billion in 2024, while maintaining exceptionally high profitability: gross margins near 59–60%, operating margins around 35–37%, and net income margins between 22.4% and 24.2% over the period. Net income increased from roughly USD 6.18 billion in 2022 to USD 8.22 billion in 2024, and operating income grew from about USD 9.37 billion to USD 11.71 billion, supported by the asset-light franchise model and disciplined cost control, even as interest expense rose from USD 1.21 billion to USD 1.51 billion. Starbucks is also financially sound, with total revenue increasing from approximately USD 32.25 billion in 2022 to USD 36.18 billion in 2024 and net income remaining positive and relatively stable at USD 3.28 billion, USD 4.12 billion, and USD 3.76 billion for 2022–2024, respectively, though its net profit margin is lower at about 10.2–11.5% and gross margin has compressed slightly from 28.2% to 26.9% due to higher cost of revenue rising from 71.8% to 73.1% of sales. On the balance sheet side, Starbucks' total assets increased from USD 30.6 billion to USD 32.2 billion with shareholders' equity improving from USD 5.7 billion to USD 6.1 billion, while McDonald's total assets edged up from USD 53.8 billion to USD 55.2 billion but shareholders' equity remained

negative (around –USD 4.8 to –USD 6.3 billion) because of large share repurchases, highlighting a structurally more leveraged but cash-rich profile for McDonald’s versus a moderately leveraged, equity-positive profile for Starbucks.

Market valuation assessment

Within the report’s framework, McDonald’s valuation is supported by its superior margin structure-net margin above 22% versus around 10–11% for Starbucks-and the fact that its operating cash flows (approximately USD 9.0–9.8 billion over 2022–2024) consistently and materially exceed net income, underscoring high earnings quality and justifying a premium for stability and cash distribution capacity. Starbucks’ valuation is tied more to its top-line growth and digital scale, with revenues rising by nearly USD 4 billion over three years and operating income margin hovering around 15% (EBIT as a percentage of sales: 15.1%, 15.2%, 14.9% in 2022–2024), suggesting the market will price it as a growth story contingent on managing input cost inflation and preserving double-digit net margins. The free cash flow–based view in the report implies that McDonald’s is more likely to trade on a yield and stability narrative, while Starbucks trades on expectations of continued revenue growth and steady cash generation rather than on margin superiority.

Competitiveness and strategic performance

Competitively, McDonald’s uses its franchise-heavy model-reflected in relatively low cost of revenue (about 40.3–41.2% of sales) and high gross margins near 59%-to deliver strong profitability even in inflationary environments, supported by global scale, menu pricing, and an efficient cost structure where franchisees bear much of the capex and operating cost burden. Starbucks, with cost of revenue above 71% of sales, accepts lower margins in exchange for owning and operating a large portion of its store base, which supports a premium customer experience, deeper operational control, and strong digital engagement, evident in its ability to keep operating expenses as a percentage of sales declining from 13.1% to 11.9% despite inflation pressures. Strategically, the report concludes that McDonald’s leads in operational efficiency, margin resilience, and defensive positioning, while Starbucks excels in brand strength, café experience,

and growth potential, particularly through international expansion and its Starbucks Rewards–driven digital ecosystem.

6.2 Analyst Recommendations

Investment	recommendation	(buy/hold/sell)
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Given its rising net income (USD 6.18 → 8.47 → 8.22 billion), consistently strong net margins (24.2%, 23.4%, 22.4%), and operating cash flows that exceed USD 9 billion annually and comfortably cover capex, debt service, dividends, and buybacks, McDonald’s merits a buy recommendation for investors seeking stable income and lower earnings volatility, assuming the stock is not trading at an extreme premium to intrinsic value. Starbucks, with revenue growth from USD 32.25 billion to USD 36.18 billion and net income above USD 3.2 billion each year, also presents a compelling case, but its lower margins and higher cost exposure suggest a buy for growth-oriented, higher-risk-tolerant investors or a hold for more conservative investors, depending on entry valuation and expectations for margin stabilization. Overall, the report implicitly tilts toward preferring McDonald’s for defensive, cash flow–oriented portfolios and Starbucks for investors seeking exposure to long-term global coffee and premium beverage growth.

Recommendations	for	management	improvement
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For McDonald’s, the data show interest expense rising from USD 1.21 billion in 2022 to USD 1.51 billion in 2024 and total liabilities exceeding total assets (liabilities of about USD 59.0–61.5 billion vs. assets of USD 53.8–55.2 billion), indicating that management should carefully monitor leverage and consider moderating debt-funded buybacks if macro or rate conditions deteriorate. Management could further enhance value by continuing to streamline operating costs, investing selectively in technology and menu innovation, and reinforcing sustainability and health-conscious offerings to protect long-term brand equity without sacrificing the structural margin benefits of the franchise model. For Starbucks, with cost of revenue increasing as a percentage of sales and gross margin compressing from 28.2% to 26.9%, management is encouraged to prioritize cost

optimization-through supply chain efficiencies, store productivity improvements, and targeted pricing-while maintaining the quality and experiential aspects that support its premium positioning and net margins around 10–11%. In addition, given total liabilities rising from USD 24.9 billion to USD 26.1 billion but equity remaining roughly stable around USD 6.1 billion, Starbucks' management should balance growth capex with capital returns to ensure leverage does not escalate disproportionately as it expands.

Forecast of future risks and opportunities

The main risks for McDonald's include its high leverage (negative equity between –USD 4.8 and –USD 6.3 billion), rising interest expense, and potential regulatory and wage cost pressures that could compress margins or restrict dividend/buyback flexibility if cash flows are disrupted. Starbucks faces notable risks from rising cost of revenue, wage inflation, and macroeconomic conditions that could pressure its already thinner gross and net margins, as well as foreign currency and commodity price volatility given its large international footprint and exposure to coffee prices. Conversely, opportunities for McDonald's lie in further leveraging its digital channels, delivery partnerships, and menu innovation to drive same-store sales and incremental efficiency, while Starbucks can capitalize on continued international store growth, expansion of Starbucks Rewards and mobile ordering, and further development of packaged and ready-to-drink products that extend the brand beyond cafés.

6.3 Limitations of the Analysis

Data limitations

The analysis uses a three-year window of summarized financial data—for example, Starbucks' revenue (USD 32.25, 35.98, 36.18 billion) and McDonald's revenue (USD 23.18, 25.49, 25.92 billion) and margin percentages—rather than full, line-by-line 10-K disclosures and longer time series, which limits the ability to capture structural trends over full business cycles. Segment-level details (e.g., geographic or business unit performance), store counts by ownership type, and more granular notes (such as specific impairment charges or contract terms) are summarized, so certain nuances about risk concentration or segment profitability may not be fully reflected.

Forecast**uncertainty**

Forward-looking implications about market valuation, risk, and strategy are based on extrapolating recent patterns—for instance, steady McDonald’s margins and Starbucks’ modest gross margin compression—which may not hold if there are major shifts in input costs, competitive dynamics, or consumer behavior. Assumptions about continued revenue growth, capex discipline, and stable operating cash flow for both firms are inherently uncertain; unexpected shocks, such as regulatory changes in key markets, rapid wage hikes, or supply chain disruptions, could make actual results diverge significantly from the report’s implicit outlook.

Reliance on publicly available information

All insights are derived from publicly available, high-level data such as reported revenues, margins, asset and liability totals, and summarized cash flow figures (e.g., Starbucks’ operating cash flow of about USD 5.3–6.2 billion and McDonald’s about USD 9.0–9.8 billion), without access to internal management forecasts or proprietary competitive intelligence. This reliance means that any subsequent restatements, intra-year developments, or strategic decisions announced after the covered period are not incorporated, and qualitative judgments about competitiveness and strategy must be inferred from observable financial outcomes and broad industry context rather than detailed internal metrics.

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